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Investment Analysis of Costco: A Comprehensive Strategic and Financial Evaluation

Undergraduate Honors Thesis

Spring 2025

East Texas A&M University

College of Business | Department of Accounting and Finance

Author: Shane Johnson

Advisor: Dr. Srinivas Nippani, Ph.D.

Abstract

We provide an investment analysis of Costco Wholesale Corporation by conducting an analysis of the fundamental business model, industry standing, financial performance, and long-term investment potential. As a leader in the warehouse retail industry, Costco has experienced significant growth through its cost-efficient operations, bulk sales approach, superior supply chain management, membership fee revenue streams, high quality product offerings, and strong customer loyalty. This research seeks to answer the question: Is Costco a good investment opportunity based on its valuation, competitive positioning, financial performance, and overall industry outlook?

We begin with a business and industry overview, analyzing Costco's business strategy in the wholesale retail sector. This section will provide the reader with a detailed qualitative analysis by using Porter's Five Forces framework and SWOT analysis. We then provide a financial analysis using a two-step framework, beginning with a detailed financial evaluation of Costco individually, then comparing Costco's financial performance with rival firms and industry benchmarks. We use quantitative methodologies including a Discounted Cash Flow (DCF) model, sensitivity and scenario analysis, and financial ratio analysis.

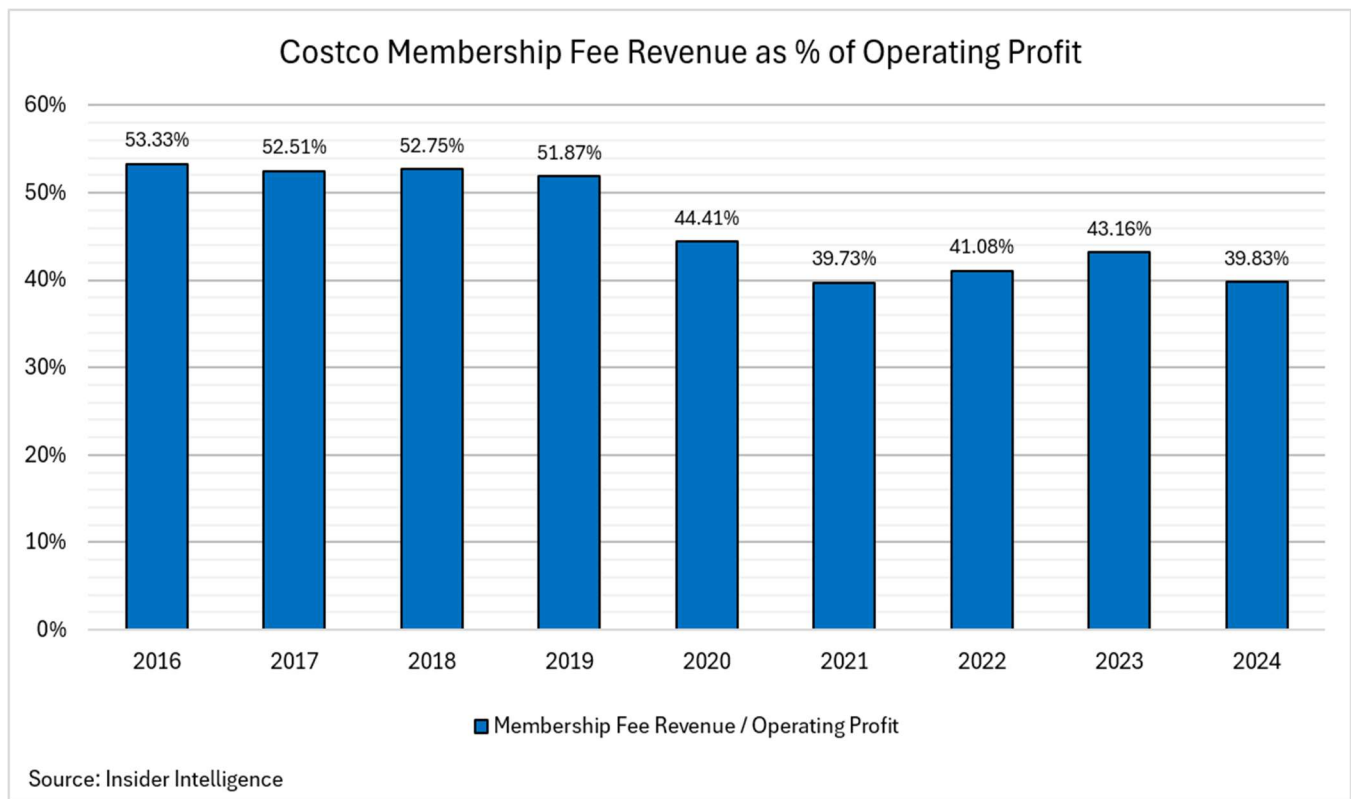
We provide an analysis on return on equity (ROE), profit margins, debt ratios, and operating efficiency. We provide a risk analysis to evaluate multiple critical macroeconomic factors, including inflation, tariffs, and government policy. Additionally, the risk analysis will assess operational and firm-specific risks such as supply chain dependency and disruptions, geographic store concentration and dependency, changing consumer demand, and competitor actions. The thesis concludes with a final investment recommendation, combining all the analysis findings into one comprehensive conclusion.

Business Overview & Analysis

Costco Wholesale Corporation was founded in 1983 by James Sinegal and Jeffrey Brotman and quickly became a leader within the wholesale retail industry because of its unique and efficient business model. Costco mainly sells bulk products at bargain prices, including food, clothing, and household goods. At the core of Costco's strategy is an unwavering commitment to providing high-quality products at low prices. While this low-margin pricing strategy would be financially unsustainable and practically impossible to implement for many retail businesses, Costco thrives by leveraging membership fees.

Like many traditional retail stores, Costco operates on razor-thin profit margins for most merchandise. However, Costco's membership fee revenue model allows it to charge even lower prices than normal. This is possible because the membership fees provide a stable and predictable stream of revenue, regardless of the individual product sales volumes on a particular day. These membership fees are pure profit with no strings attached, and they act as a cushion that allows Costco to pass on very attractive savings to its customer base.

The key to Costco's competitive advantage lies with the mutually beneficial feedback loop that the business has; members pay small fees upfront that enable low prices, and these low prices further increase customer satisfaction and retention. Membership revenue is so essential to Costco's business model that in multiple years the fees have made up over 50% of all operating profit (Insider Intelligence, 2025). From 2020 onward, membership fees have begun to decline as a percentage of total operating profit, but they still make up a sizeable portion of around 40% (Insider Intelligence, 2025). Operating profit is largely concentrated and is derived mainly from membership fees, with the following chart showing just how crucial these fees are to Costco's fundamental business strategy:



Moreover, Costco's gross revenues have steadily grown over the last decade, from around \$115 billion in 2015 to \$254 billion in 2024 (FactSet Fundamentals, 2025). This shows the company's proven ability to expand its operations successfully, all while maintaining its low-margin financial strategy. Costco has also continuously expanded its total store count over the years. This strategy of store expansion, coupled with rising numbers of total members, will continue to be strong drivers of revenue. This consistent revenue growth is likely to persist in the foreseeable future. Costco's revenue growth demonstrates the scalability and reliability of Costco's business model, *but only* when it is supported by a solid foundation of recurring membership fees.

A central tenant of Costco's business model is the emphasis on using a small number of constantly changing products, typically around 4,000 Stock Keeping Units (SKUs) (Costco Wholesale

Corporation, 2024, p. 4), compared to 140,000 at Walmart, and half a billion at Amazon (Gabler, 2024). According to Costco's 2024 Annual 10-K filing, this limited selection of goods is composed of both nationally branded and private-label products across different categories and is focused on maximizing sales volume and creating rapid inventory turnover (Costco Wholesale Corporation, 2024, p. 3). This business strategy optimizes inventory management and increases inventory turnover, both of which are crucial factors in reducing total operational costs and increasing Costco's long-term efficiency.

Costco also employs a bulk-volume purchasing strategy, which creates large economies of scale for the business. By purchasing merchandise and products straight from suppliers and then sending them through either cross-docking depots or directly to its warehouses, Costco drastically reduces freight volume and handling expenses that are normally observed under traditional distribution supply chains (Costco Wholesale Corporation, 2024, p. 3). Because of the cost savings derived from this innovative shipping approach, Costco can sustain lower overall gross margins compared to the majority of its retail rivals, which further reinforces its bargain-price model. This disciplined pricing strategy is foundational to Costco's competitive and industry advantage. The company has an internal policy to generally restrict product markups to no more than around 14% - 15%, which ensures that there are substantial price savings for customers (Gabler, 2024). This price strategy also creates exceptional customer loyalty and satisfaction for the business. Members obtain significant purchase savings, compared to conventional retail stores, which helps to further promote frequent customer shopping trips in a positive feedback cycle.

Costco's unique warehouse club model uses a no-frills, self-service shopping experience, where bulk packaging and efficient product handling further contribute to the enterprise's superior productivity (Costco Wholesale Corporation, 2024, p. 3). Warehouses utilize a minimalistic store layout and are designed with both economy and efficiency in mind (Costco Wholesale Corporation, 2024, p. 4). The

strategic design of the warehouse layouts greatly enhances operational efficiency in loading and stocking supplies. Stores usually possess spacious aisles and large-scale bulk product placement, which allow for ease of access and streamlined movement for forklifts and loading equipment. This intentional store layout design allows workers to quickly move large amounts of supplies directly from outside delivery vehicles to store shelves, which reduces handling and inventory restocking time. Costco believes that customers are attracted to its stores because of their principles of quality and price, thus, this simple layout strategy directly contributes to Costco's fundamental business strategy by maximizing operational efficiency to best meet consumer demands (Costco Wholesale Corporation, 2024, p. 3). Costco's signature brand is Kirkland Signature, and it is crucial to the competitive viability of the business. Kirkland Signature offers a huge selection of multiple categories, such as foods, clothing, home goods and health products, with the added goal of either matching or exceeding the quality of other competing brands. The main strategy that Costco uses for Kirkland Signature products is as follows: Costco creates a high-quality good that is equal to or better than a competitor's product, then Costco sells the product for less (Costco Wholesale Corporation, 2024, p. 7). These products help Costco to cultivate its own proprietary brand for potentially higher profit margins. This strategy of developing its own brand also means that Costco is less dependent on other suppliers for products.

Costco's inventory management is a key factor to its business success. In fact, inventory is very frequently sold before payment is even required for supplies, which allows Costco to capitalize on early payment discounts (Costco Wholesale Corporation, 2024, p. 3). This also highlights the success of the inventory management system that the business uses. By employing superior inventory management, Costco can better use its economies of scale and allocate cash more efficiently.

As mentioned earlier, membership fees serve as a financial bedrock for Costco, historically comprising around 40% - 50% of operating profit. These fees are what give the fuel to Costco's entire

business model, as they allow Costco to reduce prices for customers and remain profitable while doing so. These annual membership fees allow for stable cash flows, which provide financial stability and a solid foundation for everything that Costco does. Costco also has an exceptional membership renewal rate of around 92% in the USA and 90% in Canada, which further reinforces its membership fee strategy and illustrates the continued satisfaction of its customers (Costco Wholesale Corporation, 2024, p. 3).

Porter's Five Forces Analysis

Porter's Five Forces framework is a valuable tool that will be used to evaluate the competitive pressures and strategic positioning of Costco in the wholesale retail industry. We will now analyze Costco using Porter's Five Forces framework (Threat of New Entrants, Bargaining Power of Suppliers, Bargaining Power of Buyers, Threat of Substitute Products and Services, and Competitor Rivalry).

Threat of New Entrants

The threat of new entrants in the wholesale retail industry remains low due to large barriers to entry. Some of the barriers include large capital expenditures required to achieve efficient economies of scale, and significant investments needed for physical infrastructure and prime high-traffic real estate (Young, 2024). Costco's business effectively utilizes extremely efficient supply chains and economies of scale. Costco keeps costs to a minimal level, and then achieves an operating advantage compared to competitors due to the tight cost controls and the massive amount of physical stores that the business owns. Another factor to consider regarding new entrants is that not only is Costco operating on a nationwide and quasi-international scale, but also it holds substantial brand equity and high customer loyalty; achievements that take years of hard work to achieve.

For a new business to effectively compete with Costco, they would need to have an extremely large amount of capital expenditures to establish large warehouse stores, create efficient inventory management systems, establish large economies of scale like Costco's, and build complex supply chains from the ground up. These enormous preliminary capital expenditures are simply such a large cost up front, and only more established businesses that already have a presence in similar industries would even attempt to create a new enterprise that directly competes against Costco. The cost-leadership strategy that Costco employs took many years of optimization and refinement, and it creates an unmatched competitive barrier to entry that new entrants would find extremely challenging to replicate.

Another factor that acts to insulate Costco from the force of new entrants is its strong brand recognition and deeply entrenched membership fee business strategy. Customer loyalty is rooted in up-front membership fee commitments and Costco's product value proposition, which discourages customers from easily switching over to an arbitrary new entrant in the market. Costco's private label brand, Kirkland Signature, further provides both value and quality to customers, which creates a strong incentive for customers to continue shopping at Costco.

Bargaining Power of Suppliers

The bargaining power of Costco's suppliers is relatively low because Costco has strategically positioned itself to counteract supplier influences. One of the main reasons that supplier influence is weakened is because there is a vast number of competing suppliers vying for Costco's business, which means that Costco is effectively immune to what just a few suppliers individual actions are (Young, 2024). Suppliers cannot impose their will on Costco because Costco can simply move its purchasing to another supplier that has better terms (Young, 2024). Costco further amplifies its advantage in supplier

bargaining power through its quick inventory turnover, which implies that it will make frequent and reliable purchases from its vendors. In addition to these advantages, Costco also has an advanced and streamlined supply chain and distribution network. This network ensures vendors that their products will be efficiently distributed. Therefore, suppliers also rely on Costco's internal supply chain and business strategy for their own stable revenue streams.

Importantly, Costco's private-label brand, Kirkland Signature, helps to diminish suppliers' power over Costco, due to Costco's proactive approach of diversifying and gaining independence from external products. By investing in its own product lines such as groceries and clothing, Costco can gain greater price control and operational efficiency, all aiding in mitigating supplier leverage over Costco.

Bargaining Power of Buyers

The bargaining power of buyers is high compared to suppliers because buyers have both relatively low switching costs and an extremely high availability of substitute products. Due to low switching costs, customers can easily switch to other competing retailers such as Sam's Club, BJ's Wholesale Club, or Amazon (Young, 2024). Costco mainly sells commodity goods, which means customers can browse the internet or other stores and make a simple switch to a rival retailer that offers better prices.

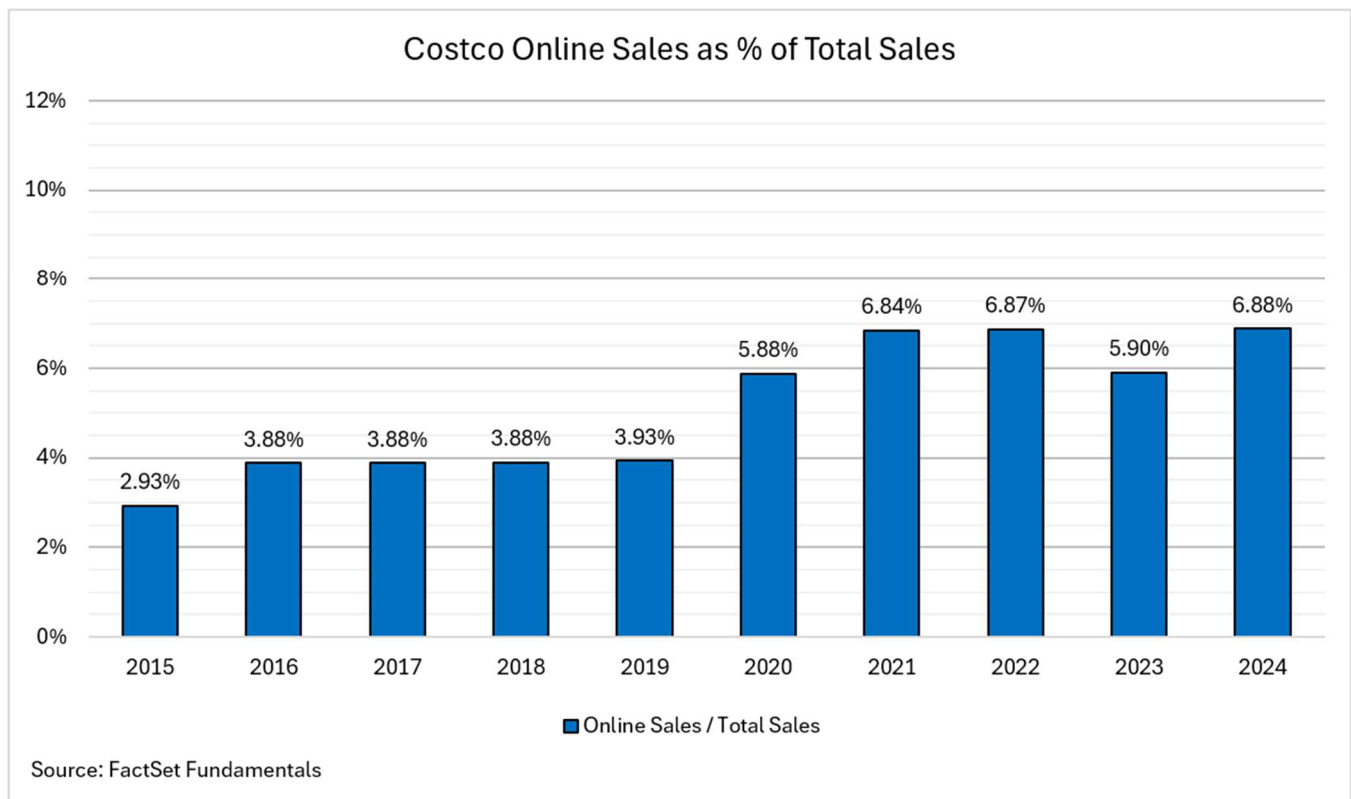
Costco guards against buyer power through its membership-based approach. Members are required to invest upfront with a small membership fee before gaining access to Costco's stores, which psychologically inclines them to utilize the service more often; thus, helping mitigate the risk that buyers will randomly stop using Costco altogether. Costco's focus on providing quality products is another highly effective mitigation tactic for buyer power. Costco's bargain prices on high quality products

creates a tough strategy for rivals to defend against. Rivals thus have a difficult time lowering their prices to match Costco, and even when they do, Costco's quality is normally superior.

Threat of Substitute Products and Services

The threat of substitute products and services remains one of the largest threats Costco faces. As previously mentioned, customers face very low switching costs and a large number of substitute products that are readily available. Substitute items are readily available to consumers with no added expense to switching over (Young, 2024). This poses a significant and constant threat to Costco's business (Costco Wholesale Corporation, 2024, p. 13). However, Costco's value proposition remains strong and distinct because of price-savings by bulk purchasing, a limited SKU model, and high-quality products. Costco creates unique value and puts itself in a great position compared to its rivals.

Another important factor to consider when evaluating substitutes is the widespread growth of e-commerce. E-commerce firms such as Amazon provide ease of access and convenience for customers and does not require that customers even physically be present to purchase goods. They also take away large portions of revenue by directly competing with Costco. To combat this, Costco has quickly acted to expand its digital capabilities, shown by its growth in online sales as a percentage of total revenue, especially after the COVID-19 pandemic (FactSet Fundamentals, 2025). Online sales have consistently comprised around 6% of gross revenues over the last 4 years, up from around 3%. Costco continues to invest in digital infrastructure to mitigate threats from e-commerce substitution and to expand upon its overall business strategy.



Competitor Rivalry

Industry rivalry within the wholesale retail industry is extremely intense and is defined by price-driven competition and a large movement towards operational efficiency. Costco aggressively competes against multiple warehouse retailers, including Sam's Club and BJ's Wholesale Club, and indirectly with large established retailers like Walmart, Target and Amazon (Young, 2024). These firms make competition fierce, as they capitalize on their own strategic advantages to extract value in the retail industry (Costco Wholesale Corporation, 2024, p. 13) In the retail industry, there are usually much tighter profit margins compared to most other industries. Margins regularly hover around the 2% - 3% range (FactSet Market Aggregates, 2025). However, Costco maintains a uniquely competitive advantage

and manages to carve out a successful niche in the retail industry due to its business model centered around low-cost, bulk sales supported by membership fees.

Porter's Five Forces Analysis Conclusion

Through this comprehensive analysis using Porter's Five Forces, it is apparent that Costco holds a sizable competitive position within the wholesale retail industry. Costco's business model effectively minimizes threats from new entrants and greatly reduces supplier bargaining power. Substitutes, buyers' power, and competitive rivalry within the industry do present tangible challenges; however, Costco is actively implementing strategic initiatives including investment in private labeling, customer loyalty, and new warehouse locations. These investments allow the business to maintain strong defensive and offensive market positions. This qualitative assessment shows that Costco's strategic positioning and competitive advantages merge to form a strong and resilient foundation.

SWOT Analysis

SWOT analysis is another valuable tool that will be used to evaluate Costco in the wholesale retail industry. We will now analyze Costco using SWOT analysis (Strengths, Weaknesses, Opportunities, and Threats).

Strengths

One of Costco's major strengths is its exceptional brand equity and reputation, all due to its deep commitment to possessing high-quality products, low prices, and customer satisfaction. Customers are fully aware that when they shop at Costco, they will consistently come across bargain deals. The

membership model seeks to reinforce customer loyalty, by members perceiving tangible value in exchanging annual fees for continuous price savings. Membership retention rates are consistently above 90%, further proving that Costco has an extremely sustainable revenue stream from memberships and continued customer satisfaction (Costco Wholesale Corporation, 2024, p. 5). Costco's use of the Kirkland Signature private label brand also strengthens the company's market share and helps to maintain consistent profits. The Kirkland brand normally has higher margins compared to name brand products that Costco sells, which helps to further enhance customer loyalty through consistent quality at bargain prices. The Kirkland Signature label generates substantial consumer trust and has increased basket sizes and led to more frequent visits (Costco Wholesale Corporation, 2024, p. 3).

Costco's warehouse model leverages bulk purchases, lower amounts of merchandise handling, and lean inventory management to sustain low operation costs. The warehouses are designed for maximum efficiency with wide aisles and pallet-based displays, which helps forklifts to quickly move inventory throughout the day much more efficiently than normal (Costco Wholesale Corporation, 2024, p. 3). This resulting operational leadership helps Costco to achieve outperforming industry inventory turnover ratios (FactSet Fundamentals, 2025). One of the most important strengths that Costco possesses is the stable revenue generation from membership fees. Not only are these fees consistent, but they are consistently increasing each year (Costco Wholesale Corporation, 2024, p. 26). Membership fees usually account for around 40% - 50% of all operating profit for Costco, which shows how the customer satisfaction and continually high membership retention rates directly contribute to sustaining Costco's continued success (Insider Intelligence, 2025).

Weaknesses

Costco possesses a few weaknesses that should be reviewed further. Costco's business strategy relies on intentionally limiting the product assortment the stores carry, usually around 4,000 SKU's. While this does increase operational efficiency for the business, it is inherently limiting consumer choices, which could potentially lead to different groups of people not finding what they are looking for. In addition, the reliance on bulk packaging is a unique and useful feature the store uses; however, it could lead to certain consumers not purchasing goods due to their preference for smaller quantities. For example, some large quantities of food may go to waste due to taking a large amount of time to eat, so consumers would then purchase smaller quantities that would not be wasted. Another weakness associated with Costco is the dependance on North America. Around 86% of Costco's revenue is derived from the North American market, which could lead to concentration risks if there is any economic downturn in this area (Costco Wholesale Corporation, 2024, p. 9). By diversifying into international markets, Costco has shown a willingness to mitigate this weakness.

Compared to competing retailers such as Amazon, Walmart and Target, Costco maintains relatively weak penetration with its e-commerce, with online revenues currently only making up around 6% of total sales for the business (FactSet Fundamentals, 2025). E-commerce is a thriving global phenomenon, and by being a large traditional physical enterprise, Costco does have risk of missing out on the growing consumer demand for e-commerce. The ultimate consequence of this would be eroding market share in numerous categories, as consumers are increasingly turning towards convenience, online accessibility, and fast home delivery that e-commerce provides. Finally, a deep reliance on the firm's membership fee revenue is a vulnerability that must be considered. While the membership model provides superior stability and predictability for Costco as a whole, its dependance on fee income means that it is a key driver to profitability, and any negative change in conditions could lead to eroded

profitability. If there is any large change in consumer demand, rising dissatisfaction with products, or an increase in competitive pressure, then Costco could face real weaknesses in membership fee income and overall gross profit margins. Any reduction in renewal rates for the business would result in much lower operating profit.

Opportunities

There are a variety of opportunities for Costco in the wholesale retail market, especially internationally. One strategy for Costco to focus on is expansion into regions that are undergoing economic growth, urbanization, and growing middle-class populations, such as Asia-Pacific and Latin America. If Costco seizes the opportunity to expand into international markets, then the business will obtain more diversified revenue streams, therefore reducing geographical concentration risks. This would also open the business to new customers, dramatically increasing revenue and net profit overall. Costco could implement this new strategy by using its proven efficient warehouse store model, to gain both efficiency advantages and early mover advantages over different rival firms. Costco also stands to benefit from expanding its stores into high traffic areas that are growing rapidly within North America. There are multiple cities and towns throughout the United States that Costco could build warehouses in, which would further elevate its revenue. Store expansion within the US and Canada remains a strong opportunity for Costco to pursue.

Another opportunity for Costco to expand upon is digital operations and e-commerce. Currently, Costco's total e-commerce sales presence makes up only around 6% of total sales. Significant investment in more advanced digital infrastructure, such as improved logistics or more efficient online user platforms, will dramatically increase Costco's competitive positioning compared to retailers who

extensively use online operations such as Walmart and Amazon. Walmart is currently experiencing robust growth with Online Grocery Pickup (OGP) operations (Walmart Inc, 2025), where customers order items online, and then drive to a store at a predetermined time to have groceries delivered in a very short amount of time; all while staying in their vehicle. This approach to grocery shopping is gaining traction, and Costco could vastly increase both efficiency and total sales volume if it implemented OGP operations like Walmart. This would entail customers ordering online, and then instead of spending hours in a store, customers could arrive on Costco's premises and quickly receive their desired items. Not only would this create valuable customer satisfaction, but also it would allow for faster customer interactions; essentially reinforcing Costco's commitment to lean operations and efficient inventory management.

With the rise of Artificial Intelligence (AI), there are a plethora of opportunities in the retail industry that will directly impact Costco's business. Rival businesses are only going to further develop their capabilities with AI, so not only will Costco increase its own productivity by using AI, but also it will prevent it from becoming an industry laggard with regards to new AI capabilities. Costco has access to vast quantities of transactional and customer membership data, which provides it with a huge opportunity to enhance its overall marketing and business strategy through advanced data analytics and AI. If Costco invests in sophisticated AI analytical technologies in its business, then it could generate very precise customer insights, personalize marketing strategies for each customer, substantially improve product recommendations and optimize inventory management. AI would allow Costco to use predictive models for its customers, which in turn would improve overall satisfaction and increase sales per transaction. This could lead to an overall boost in the company's profitability and competitive advantage.

Threats

The wholesale retail industry is very competitive and usually yields low profit margins for participating firms. There are many threats that Costco faces in this competitive world. For example, e-commerce does present a growth opportunity for Costco as mentioned before but also poses a significant competitive threat to Costco's business. In the last decade, there has been rapid growth of large online competitors like Amazon and Alibaba, which pose a direct threat to take away sales revenue from Costco. These digitally based retailers offer a much broader product selection for consumers to choose from, very rapid delivery services to consumers' homes, and extremely personalized targeted marketing capabilities. This direct threat to Costco's revenue could lead to an erosion of market share in different categories, if Costco is not vigilant in the coming decade. Another threat to Costco's business is constant changes in customer preferences and demand. Consumer purchasing preferences are starting to favor convenience, simple designs, and rapid delivery. Costco's bulk and in-store purchasing model could face pressure if consumers continue to shift more towards quick delivery and specialty items. Amazon and other companies are further experimenting with drone technology and better delivery methods, which could lead to rising demand for delivery (Davies, 2025). Walmart's OGP model is becoming increasingly popular, as customers no longer must spend valuable time in store, and can instead have a simple convenient pickup for their weekly groceries (Walmart Inc, 2025). If Costco fails to consider these rising threats from other competing retail chains, then its customers could begin to switch to more convenient retail shopping methods, which would ultimately negatively affect Costco's core business model.

Another important threat to consider is macroeconomic downturns and changes. Costco's business performance is very sensitive to economic fluctuations. If there is increased inflation, rising interest rates, or lower amounts of discretionary spending, then Costco could see poor financial

performance. Economic downturns will directly impact customers' spending decisions, which would then lead to reduced membership renewal, lower customer spending per visit, and lower overall revenue. These changes will directly affect Costco's financial health, especially reduced membership rates, as these make up such a critical part of Costco's operating profits.

Global supply chain disruption remains an ongoing threat for Costco, especially after the COVID-19 pandemic highlighted the effects that labor shortages and transportation challenges can have. Costco's business model relies on efficiency and strong supply chains, so any negative effect in the supply chain could lead to risks for the business. For example, a labor strike, delay in transportation, or random increase in shipment costs highlight just a sample of the difficult challenges that Costco's supply chains could face. These challenges increase the risk that Costco either increases its expenses or realizes lower revenue overall. Another threat that weakened supply chains create is that customer satisfaction drops due to products not being available or product costs increasing. Overall, supply chain management is very crucial to control, as any negative effects will ripple through and impact Costco's entire business.

SWOT Analysis Conclusion

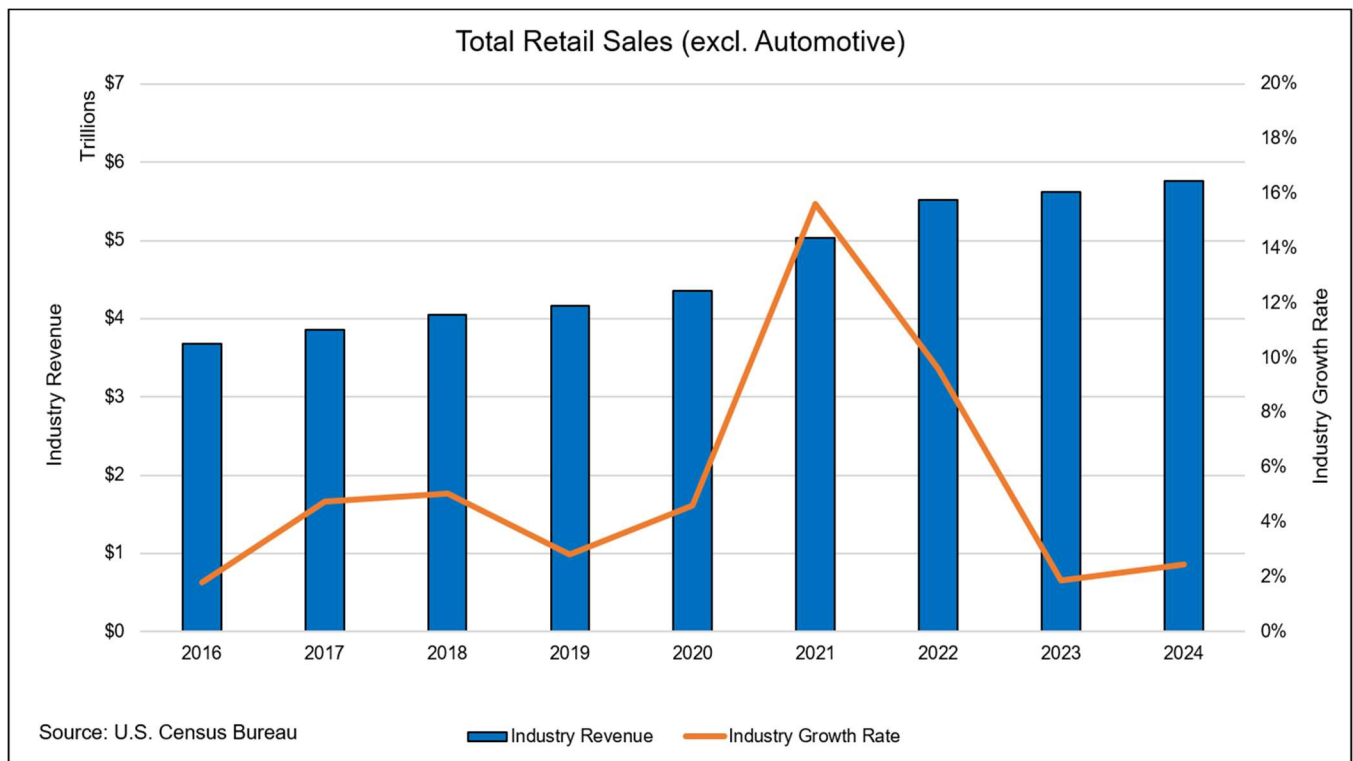
This comprehensive SWOT analysis shows that Costco possesses many valuable strengths, such as strong customer loyalty, lean inventory management, high quality products at bargain prices, streamlined operations and a growing private label brand. Nevertheless, Costco must be proactive and continue to confront its weaknesses. The business is in a great position to capitalize on US and international store expansion. By expanding and increasing its digital and business capabilities, Costco can further increase its profitability and financial stability. Finally, Costco must remain vigilant and

successfully recognize crucial threats, such as intense competition, shifting consumer trends and potential supply chain issues that could arise. By remaining prudent and analyzing multiple opportunities, Costco is poised to maintain its strategic advantages and increase its market share in a global and growing retail industry.

Industry Overview & Analysis

Costco operates broadly within the retail industry, specifically the wholesale warehouse retail sector. The retail industry is comprised of a large variety of businesses who sell goods directly to end customers. The retail industry is relatively fragmented and is characterized by an absence of a single dominant firm holding a majority market share; however, several firms hold large amounts of the total market share (FactSet Market Aggregates, 2025).

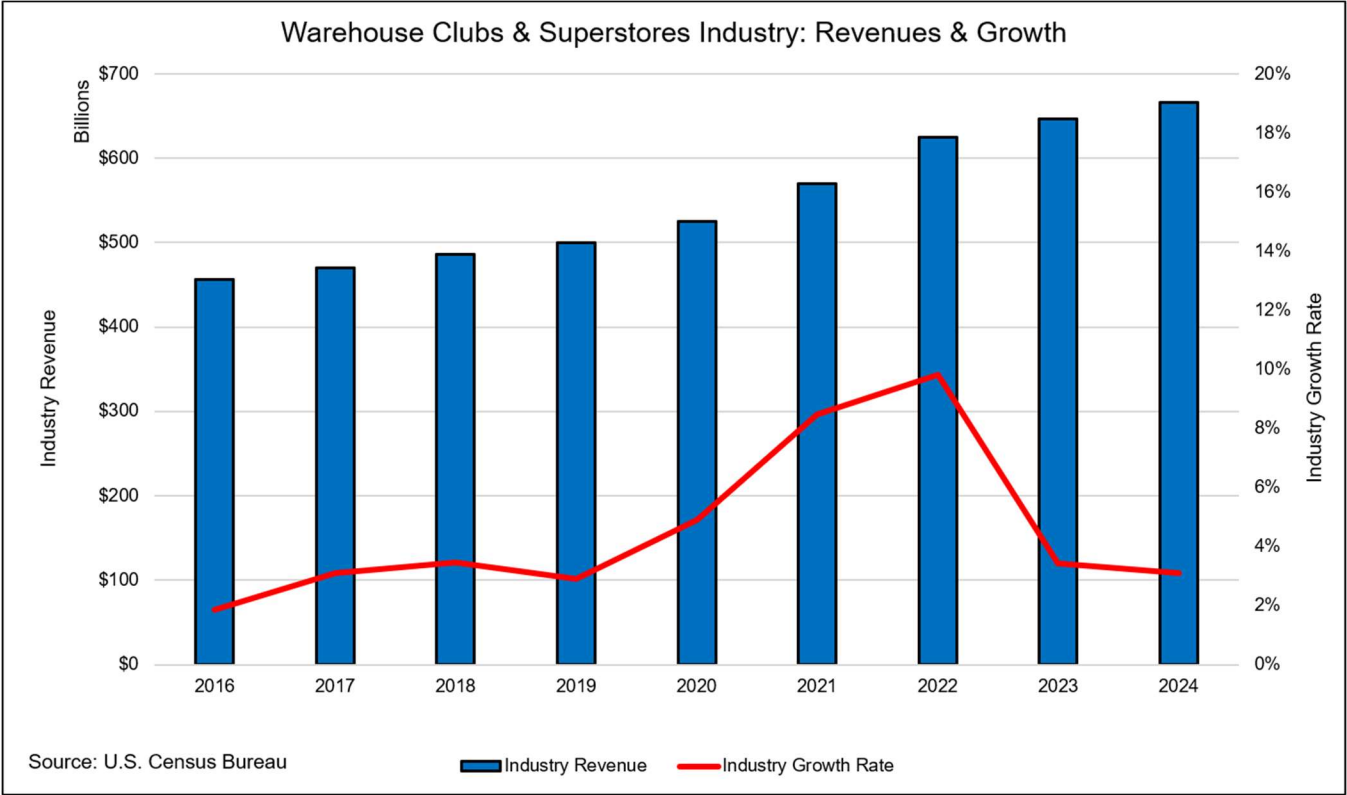
Retail stores operate through multiple methods including physical store locations, e-commerce, or hybrid and mixed models. Retail is seen as a stable industry, since most products that are sold are commodity goods that have a low price elasticity. The global retail industry is also known as one of the most diverse and competitive industries and is characterized by very low profit margins; a testament to the competitive nature of the sector (FactSet Market Aggregates, 2025). The industry has experienced rapid growth in modern times, due to new technology, rising consumer demand, and economic circumstances. According to the U.S. Census Bureau, the general retail industry (excluding automotive products) generated around \$5.75 trillion in total revenue during 2024, which highlights the large impact the industry has in the world economy (U.S. Census Bureau, 2025). The industry ended 2016 with \$3.68 trillion in total revenue, which shows how much the industry has grown over the last few years. The growth rate for the industry usually hovers around 2% - 4%, but during the COVID-19 pandemic, the industry growth rate exploded to 16% and 10%, during 2021 and 2022 (U.S. Census, Bureau, 2025). The industry growth rate then declined to more stable rates after the pandemic.



The retail industry business environment continues to evolve as companies begin to become more and more competitive. The large shift to digital purchasing has made retailers upgrade their omnichannel strategies and caused many retailers to incorporate more advanced technologies. If businesses fail to implement digital operations, then they risk falling behind the curve with competition. Additionally, many retailers are facing pressure from economic effects, such as inflation, interest rates, supply chains, and consumer confidence. These changes force retailers to react and change their overall business strategy, as competition with rival firms over small price advantages is usually very intense.

Inside of the retail industry, Costco operates within the warehouse club sub-sector. This retail sector has firms that operate large-scale warehouse stores, emphasize bulk products, and a membership fee business model. Other firms inside this sub-sector include Sam's Club (Walmart subsidiary) and

BJ’s Wholesale Club. These firms usually compete in a variety of areas, including prices, operational efficiency, product offerings, and customer loyalty. According to the U.S. Census Bureau, the U.S. warehouse club and superstore industry has grown steadily over the last few years with a steady growth rate of around 4% (U.S. Census Bureau, 2025). The industry also had over \$650 billion in total revenues for 2024. Like the general retail sector, the warehouse club sub-sector also experienced heightened growth rates during the COVID-19 pandemic, with growth increasing in this period to about 10% (U.S. Census Bureau, 2025).



Costco competes directly against Sam’s Club and BJ’s Wholesale Club, as well as indirectly against Walmart, Target and Amazon. Each of these competitors brings a distinct business strategy that

Costco must react to. Costco differentiates its business by having stringent cost controls and high-quality bargain price products. Sam's Club also has a similar strategy, but it uses Walmart's massive distribution system and economies of scale. Sam's Club utilizes Walmart's Scan & Go checkout system for a much quicker customer checkout experience, which directly competes with Costco's stores (Doodley, 2024). Sam's Club also offers a cheaper membership fee overall, which lures in many customers away from Costco on the simple basis of price.

The warehouse club segment usually operates with low net margins, usually around 2% - 3% (FactSet Market Aggregates, 2025). This means that firms must implement high-volume sales and rigorous cost controls to maintain profitability. If firms have any unexpected expenses, measures must be taken immediately to correct this to prevent margins from declining further. Another area that firms can attain profit growth is through international market expansion. These markets present an opportunity for wholesale retail businesses due to the increasing disposable incomes and growing urban populations of multiple nations. Costco has already begun to capitalize on this growth opportunity by expanding into regions like China, Japan, South Korea, and Mexico (Costco Wholesale Corporation, 2024, p. 5). This allows Costco to penetrate new markets, which increases overall revenue for the firm. Despite the many opportunities that global expansion presents, it also poses multiple challenges, such as complex regulations, cultural differences and logistical problems. In addition to these threats, global economic volatility and geopolitical uncertainty can cause major disruptions to normal business operations, from disrupting international supply chains, to increasing operating costs across the board.

The retail industry and the specialized wholesale warehouse club market sector present a multitude of opportunities and challenges. Costco remains in a prime position to thrive in the coming years, due to its efficient operations, loyal members, and bargain product offerings. However, Costco

must ensure that it effectively mitigates risks and intense competition to guarantee continued revenue growth and market-share leadership within the wholesale retail industry.

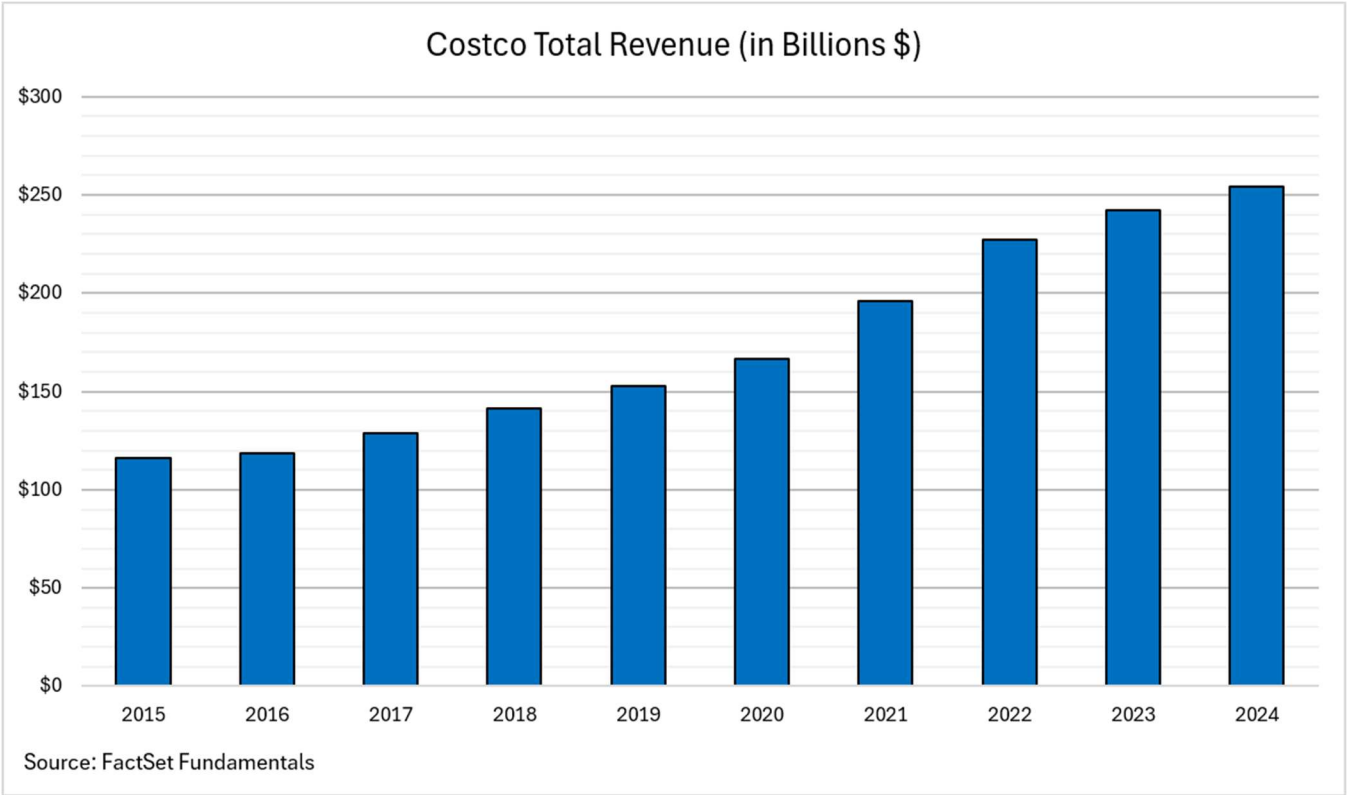
Financial Analysis

We will now perform an in-depth financial analysis of Costco individually, then transition to a comparative analysis with Costco, industry peers, and the industry averages. It is important to first look at the financial performance of Costco individually, to assess financial competence. We will also perform a discounted cash flow (DCF) analysis. This analysis will provide a solid foundation to understanding the intrinsic value of each share of Costco common stock. We also will perform a sensitivity and scenario analysis. These analyses will show how Costco performs under differing economic situations such as bear and bull markets. After this, we observe Costco's performance by comparing the business to other relevant benchmarks. By using industry peers and industry standards as benchmarks, we will investigate how Costco translates its business and industry advantages into consistent financial outperformance.

Costco Individual Financial Analysis

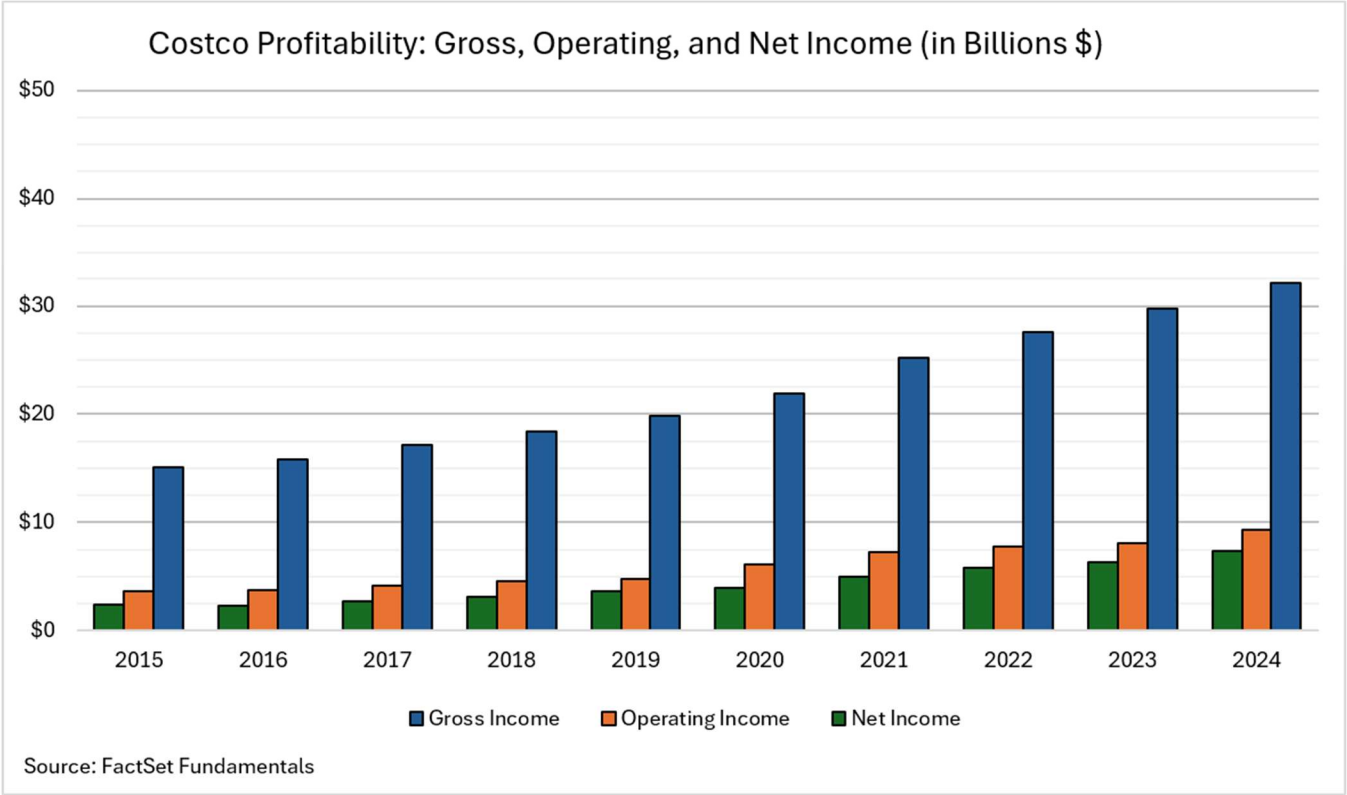
Over the past decade, Costco has achieved consistent revenue growth every year, showcasing its proven ability to expand both its customer base and total sales volume each year. Costco had revenue of \$116 billion in 2015, then saw a large increase in revenue generation during the COVID-19 pandemic. After the pandemic, Costco emerged with solid results and continuous revenue growth, surpassing \$254 billion in 2024 (FactSet Fundamentals, 2025). The stable income highlights Costco's continued success in expanding its total store count. It also shows how Costco has successfully used its bulk-volume, low-

margin business strategy to drive sustainable results. As depicted by the upward slope of the following revenue chart, Costco remains resilient and reliable during both volatile market conditions and normal market periods. The business is expected to continue growing, especially considering recent developments with e-commerce.



Costco’s income statement describes a healthy and steady increase across gross income, operating income, and net income. From 2015 to 2024, gross income started at \$15.1 billion and ended at \$30.1 billion, while net income increased from around \$2.38 billion to \$7.37 billion. (FactSet Fundamentals, 2025). While there is a wide gulf between gross income and net income each year, Costco still manages to consistently increase gross income and operating income every year, and net

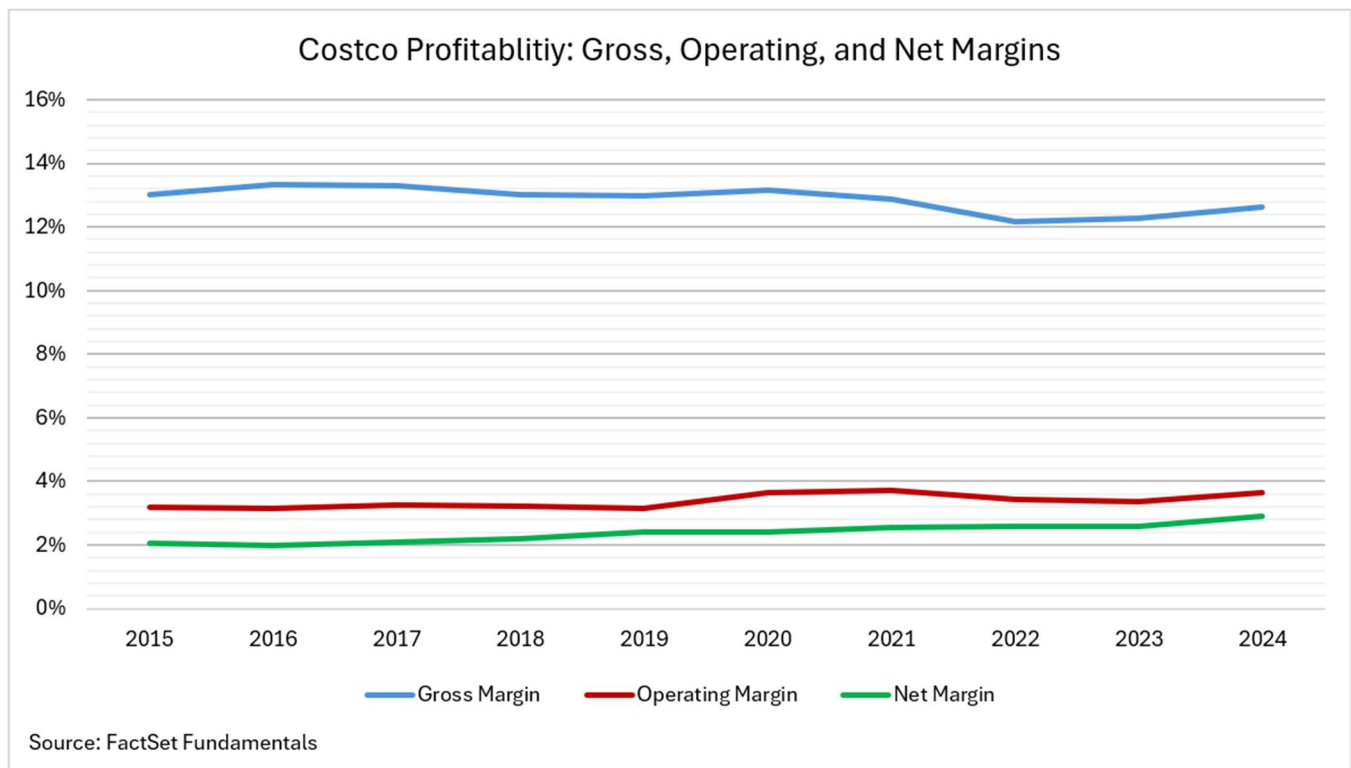
income every year except for one. This demonstrates that Costco has a profound ability to convert increasing sales into profits, despite the tight margins the business operates under. The increase in operating income shows how Costco differentiates itself with both effective cost management strategies and efficient store operations. Net income shows a positive trend upwards, further confirming Costco’s stable bottom-line and profitability per dollar of revenue. Since 2016, gross income, operating income, and net income have risen every year, providing a strong case that Costco will continue to deliver exceptional profitability to its shareholders.



Costco’s margins are relatively thin due to its business strategy. The following chart reveals the fact that not only have Costco’s margins stayed constant and stable, but also, they have increased over

time; feats that are remarkable for a business of this scale and scope. Gross margins have stayed within a band of 12% - 14% over the last decade. From 2016 to 2022, gross margins had a decreasing trend. However, in 2022 gross margins began an upward trend to rally to around 13% in 2024. Operating margins and net margins have both had a persistent upward trend over the last decade. Operating margins have inched upwards from roughly 3.1% to 3.5%, and net margins have had a successful increase from 2% to 2.9% (FactSet Fundamentals, 2025). These increases are small in percentage terms but are significant achievements given Costco's massive operating scale. Since Costco's revenues have increased every year, the net margin increase means that each year, Costco is getting a more proportionally larger share of profits from its revenue streams.

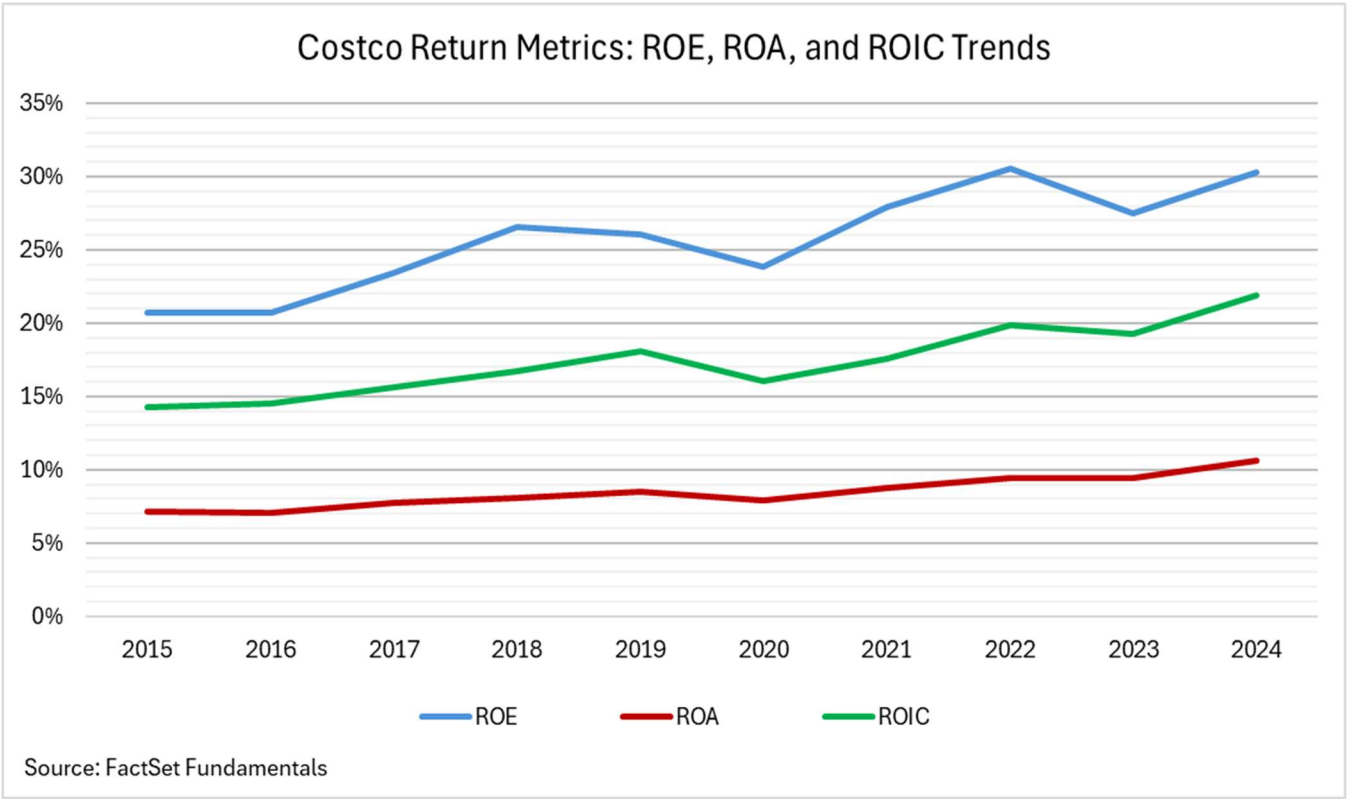
Even though there has been increasing labor and transportation costs, Costco has successfully protected and even grown its margins overall. This consistently positive behavior is a testament to the business's financial strength and superiority, especially given the COVID-19 pandemic, high inflation, and extremely competitive environment the business has performed in.



Costco's return measurements illustrate that the company possesses superior and continuously improving capital efficiency. Return on Equity (ROE) has remained consistently above 20%, and in most years above 25%. In 2024, ROE was over 30.27%, indicating that the company is creating substantial profits for every dollar of shareholder equity (FactSet Fundamentals, 2025). Additionally, not only is ROE remarkably high, it also is continuing to improve as the years pass. This is very healthy, as it means the company is both maintaining stable levels of return for its shareholders and improving consistently each year on its past performance. Return on Assets (ROA) and Return on Invested Capital (ROIC) have also increased steadily, showing that Costco is optimizing its asset base and invested capital. It is a sign of a healthy company when a business maintains stable levels of return for multiple years, but Costco achieves this and increases its return from the previous years in most cases. These

trends in return show that Costco is maintaining a disciplined and vigorous approach to its reinvestment and business strategy.

High ROE and ROIC are very impressive for Costco, given that it is generally very conservative with its use of debt. The more debt a company takes on, usually the higher the ROE can be, all things held equal, due to any change in equity being proportionally larger for smaller amounts of equity than larger. Costco uses very low levels of debt and still achieves incredibly impressive levels of ROE. Costco’s consistently superior ROE metrics are primarily driven through operational excellence, rather than excessive borrowing, which makes the fundamental quality of the earnings higher. Together, these return metrics provide a view of a company that has an elite internal business strategy, one that is likely to compound wealth for investors over a long time horizon.



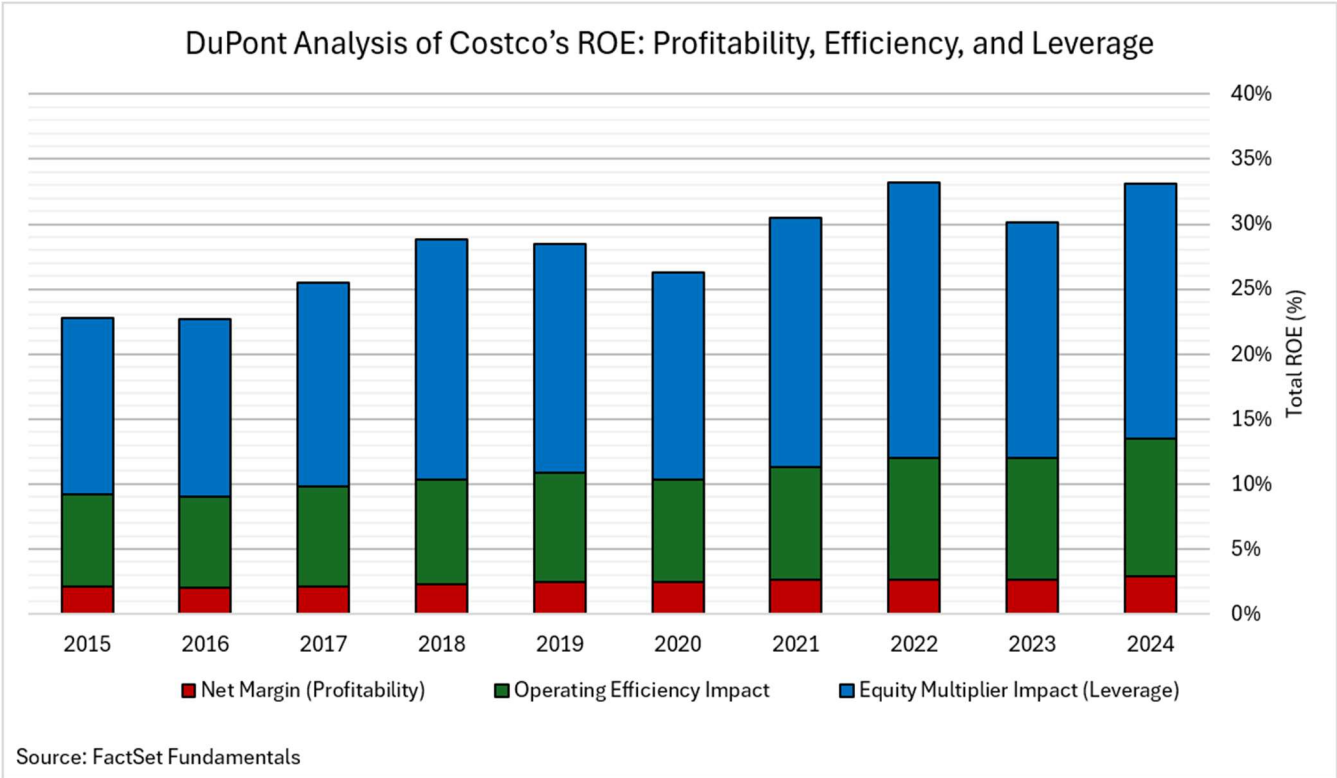
The DuPont analysis essentially decomposes Costco's ROE into three key components: net profit margin, asset turnover, and financial leverage (equity multiplier). This analysis provides the framework to dive into the details of what specifically is driving Costco's impressive ROE figures. First, the net profit margin is used as the beginning point. This is a measure of profitability for the firm. Costco's net profit margin has remained steady and increased over the last decade as mentioned earlier. This is the foundational cornerstone of ROE. Costco has been able to grow its earnings quicker than its expenses, all while operating in a highly competitive and low-margin industry.

Next is the asset turnover component of the DuPont analysis. This is also known as the operational efficiency impact. This measure shows how efficiently Costco utilizes its assets to generate revenue. This measure has consistently hovered in a range of 3.4x to 3.7x, which is a solid performance by Costco (FactSet Fundamentals, 2025). The high turnover rate reflects the business advantages mentioned earlier, from the volume-driven approach of the business to the rapid inventory management. Costco efficiently uses its assets, which then contribute directly towards its final ROE. The firm's focus on limiting product offerings, creating a lean operating environment, and providing bulk purchases all contribute to rapid inventory cycles and low amount of idle time. This is a focal point to consider, as many traditional retailers may tie up valuable time and resources in inefficient methods and excess inventory, which will simply stall returns.

The equity multiplier is essentially Costco's financial leverage exhibited in its business. It has remained quite stable, approximately around 2.8x to 3.3x (FactSet Fundamentals, 2025). This indicates that Costco does not rely on extremely dubious debt financing to boost its shareholder returns, but in contrast it generates superior returns primarily by possessing efficient operations and excellent profitability. Rather than artificially inflate ROE through high leverage like other firms, Costco maintains a conservative approach to its debt capital structure. This significantly enhances the quality

and sustainability of its earnings. When observing the breakdown of ROE, it is apparent that Costco exhibits rising margins, stable asset turnover, and prudent financial leverage. This balanced approach to attaining superior ROE is another supporting factor behind Costco’s financial strength, and it makes the business an attractive investment for investors seeking high quality earnings and stable cash flows.

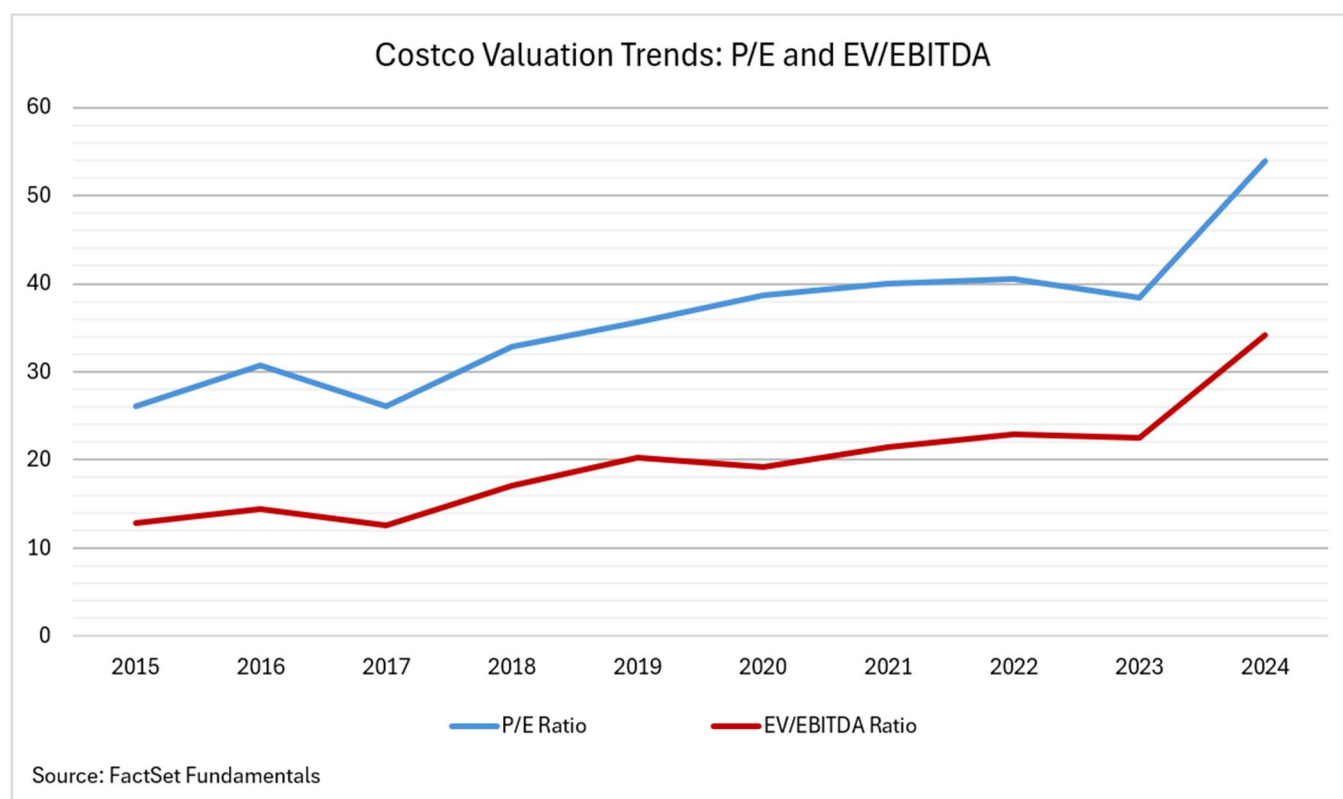
Costco’s Earnings Per Share (EPS) exhibit a strong upward trajectory, beginning at around \$5 per share in 2015 and increasing to over \$16 by 2024 (FactSet Fundamentals, 2025). This growth in EPS shows that the company can deliver increasingly larger amounts of value to shareholders. EPS is steadily increasing each year, which showcases the inherent financial health of the company. EPS also increases because of effective financial stewardship by company leaders and managers. The EPS growth has been a major factor in Costco’s premium stock price valuation. EPS is a measure of both profitability and overall efficiency, so investors look at this to gauge the real return they are earning for each share.





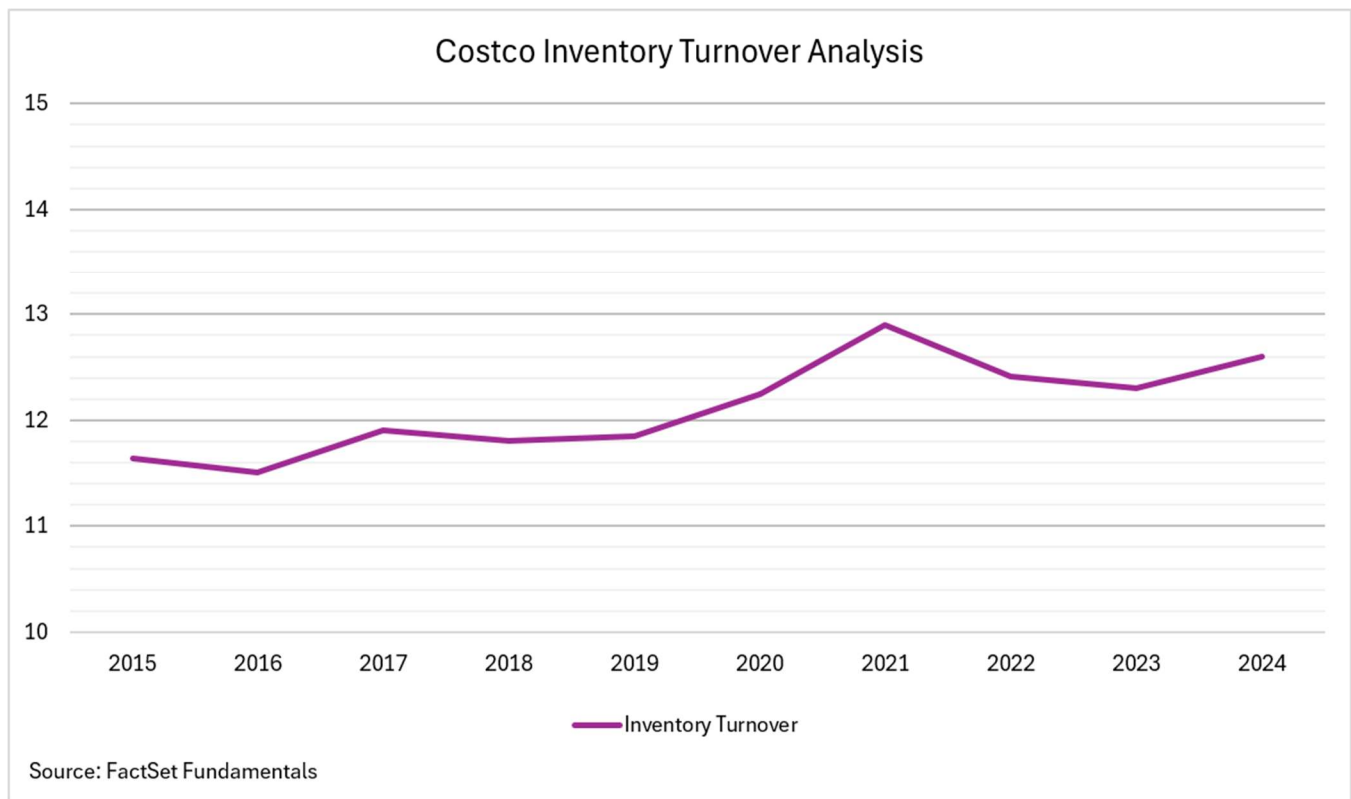
Costco's valuation ratios and metrics have incrementally increased over the past decade. The Price-Earnings (P/E) ratio more than doubled, rising from 26x in 2015 to greater than 54x in 2024. Additionally, the Enterprise Value / Earnings Before Interest, Taxes, Depreciation and Amortization (EV/EBITDA) ratio almost tripled, growing from 12x to 34x over the same period (FactSet Fundamentals, 2025). This expansion in business valuation indicates that there is excitement and robust market sentiment for Costco's strong business model and stable financial performance. Investors generally evaluate Costco's ROE as extraordinarily strong compared to other benchmarks, as we will soon show. Overall, these financial ratios indicate that investors are valuing Costco as a premium, stable retail business with strong long-term potential.

One thing to note with these higher valuation multiples is that there is an inherent expectation that Costco will have stellar market performance, which does lead to valuation risk. Traditional wisdom states that P/E ratios should remain between 15x – 25x to be considered correctly priced, so with a P/E of 54x, Costco does appear to be highly overpriced. Basically, investors are willing to pay a premium price in the present, because they strongly believe that Costco will create substantial cash flows and generate sustainable revenue growth. It is apparent that Costco exhibits strong fundamental financial health and a phenomenal business strategy, but investors should still maintain caution and prudence. These high valuation ratios require Costco to continue to execute and attain earnings growth in the future. If Costco is unable to perform as expected, it could lead to unexpected negative consequences. However, Costco is currently positioned very strongly and is likely to perform exceptionally well in the future.



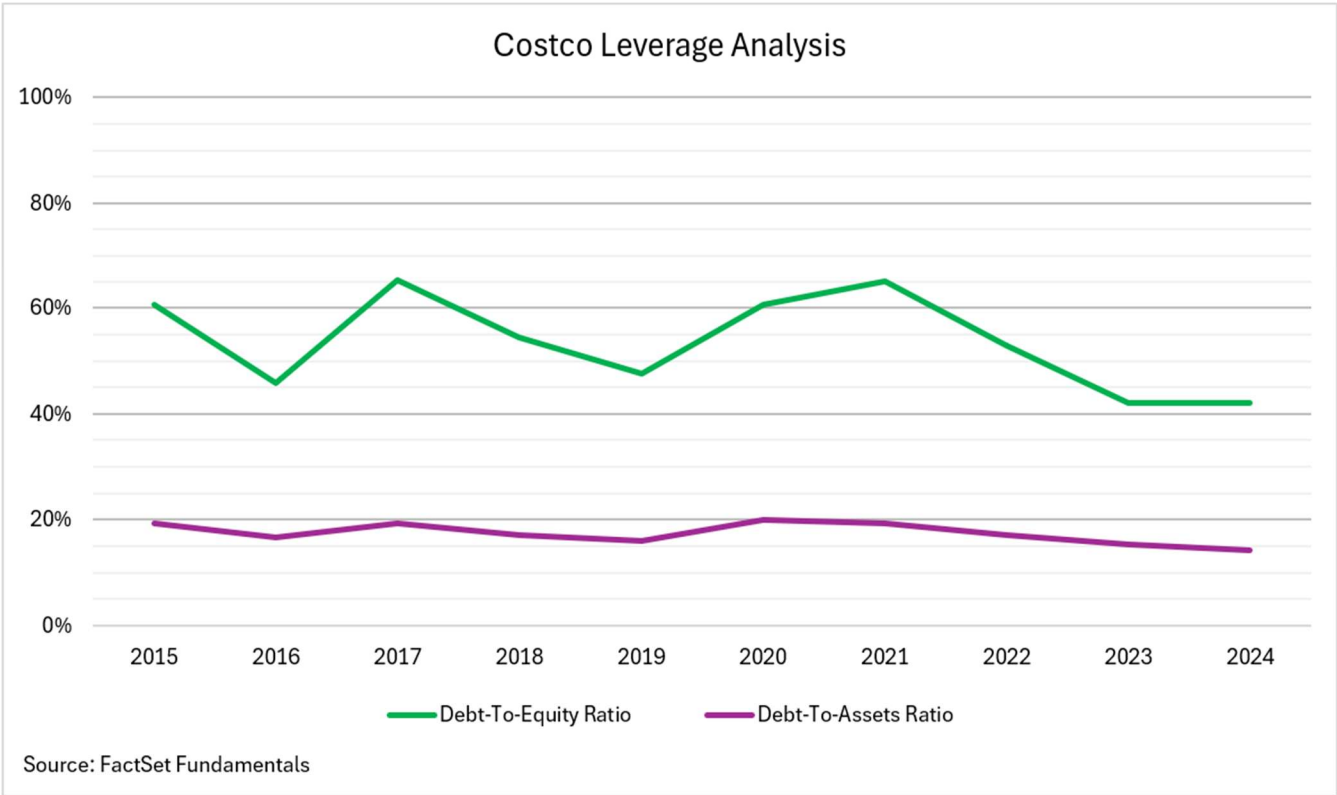
One operational measure that Costco has continued to improve upon is its inventory turnover ratio. Costco's inventory turnover ratio has steadily increased over time, with a brief dip post-COVID, and then resuming its rise. This rate was approximately 11.6x in 2015 and then increased to a high of slightly under 13x in 2021 and remains elevated at 12.6x for 2024 (FactSet Fundamentals, 2025). This steady increase in the ratio indicates that Costco is improving consistently in its approach to rapidly sell products and attain exceptional inventory management. The higher this ratio becomes, the less capital there is allocated to inventory at any given moment, meaning that Costco is moving inventory through its stores at an increasingly swifter pace.

This high operating efficiency, evidenced by Costco's strong inventory turnover ratios, directly contributes to Costco's ability to provide low prices to its customers and reduce wasteful practices. This elevated and consistent turnover rate also helps to lower storage costs, as inventory spends less time sitting idle, and more time in transit or on shelves. In an uncertain economy with volatile supply chains, Costco's lean inventory management and operational efficiency further invigorates its bottom line and customer value proposition.



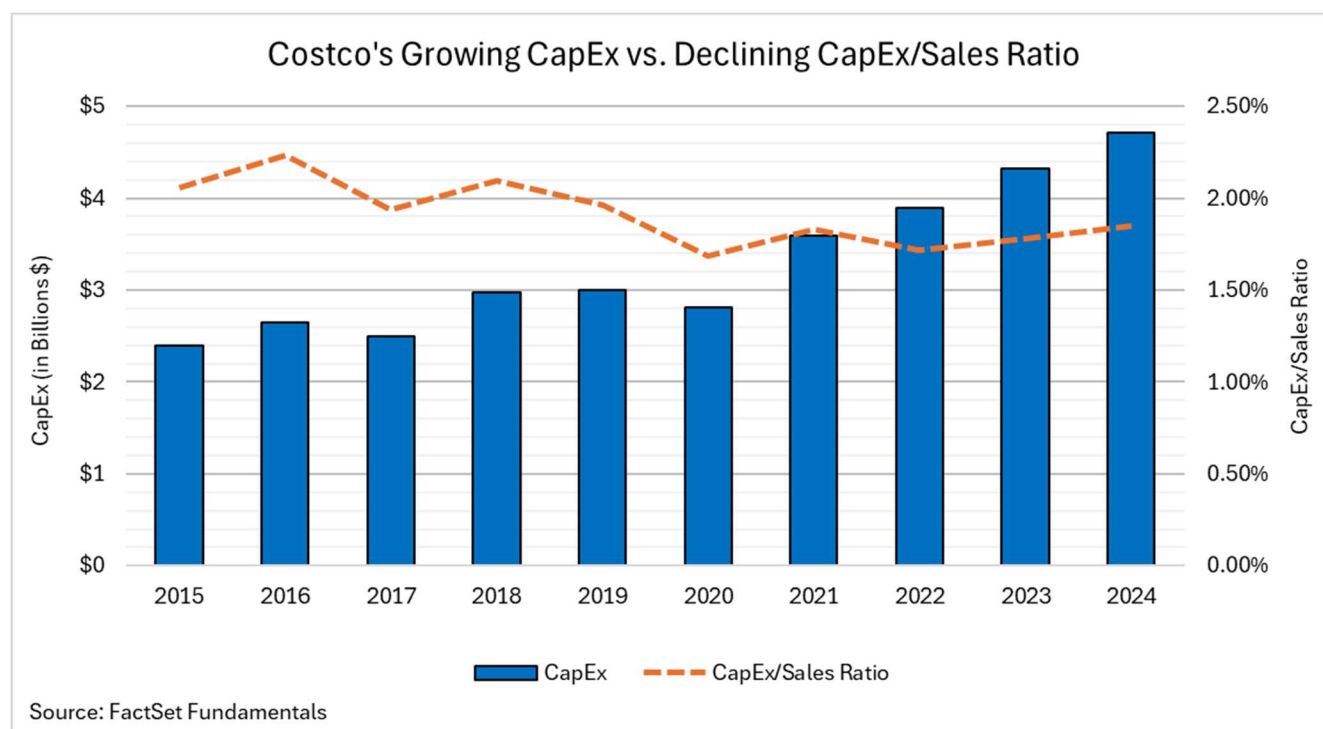
Costco's use of financial leverage as reflected by its balance sheet showing the company uses a conservative approach to debt financing. Costco's capital structure typically is comprised of lower overall aggregate amounts of debt compared to other industry peers. Costco's debt-to-equity ratio has remained low and stable, with a declining trend over the last decade. This indicates that Costco is either decreasing the amount of debt it deploys for financing, or increasing its equity holdings, both of which are making the company more stable overall. In fact, the debt-to-equity ratio saw some modest movements upward and downwards over the last decade, but the overall trend is that it has fallen from 60% in 2015 to 40% in 2024 (FactSet Fundamentals, 2025). The debt-to-asset ratio has been declining as well, indicating that Costco is either expanding its asset base aggressively, or outpacing asset acquisition with reduced debt; again, both of which lead to a more financially stable company overall. This low leverage profile that Costco possesses means the business has extra financial flexibility in case

it needs to borrow for capital expenditures of investment opportunities. Costco's debt position supports its ability to reinvest growth, remain a solid performer, and weather economic uncertainty; all while maintaining a high-tier investment credit rating. Costco has healthy cash flow generation through its business, and very modest debt servicing, which means it is well positioned to fund day-to-day operations and future store expansions. Thus, it is apparent that Costco uses low leverage overall and still creates large, impressive returns for shareholders.



The next chart required a thorough analysis of Costco’s business to gain a very valuable insight about Costco’s fundamental business position. The chart illustrates Costco’s steadily increasing capital expenditures over the last decade. CapEx spending was around \$2.4 billion in 2015 and rose markedly

after COVID-19 to reach approximately \$4.6 billion in 2024 (FactSet Fundamentals, 2025). However, while total CapEx spending has maintained healthy growth, the CapEx-to-Sales ratio has declined over the same period from around 2.25% in 2015 to 1.75% in 2024 (FactSet Fundamentals, 2025). This shows that total sales are actively outpacing CapEx spending. This is a very strong indication of efficient business scaling and sound financial management, as Costco is generating more sales per dollar of capital investment. Furthermore, the declining CapEx/Sales ratio coupled with the increase in total capital outlays reflect Costco's business strategy of constant improvement and optimizing capital deployment. This development with the business's financials shows that the company is improving both its return on capital invested and shareholder value.



Discounted Cash Flow (DCF) Analysis

The DCF method is regarded as one of the most fundamental and rigorous models for estimating the intrinsic value of a company. The model works by projecting future free cash flows and then discounting them to the present using an appropriate discount rate. This analysis will seek to estimate the intrinsic value of Costco Wholesale Corporation based on its operating cash flow generation and sustainability over time, all while taking into consideration company-specific assumptions.

This DCF analysis uses an unlevered free cash flow to the firm (FCFF) approach. We begin by projecting five years of revenue, earnings before interest and taxes (EBIT), EBIT margin, tax expense, depreciation and amortization (D&A), capital expenditures (CapEx), and change in net operating working capital (change in NOWC). For each year, we calculated the after-tax earnings of the firm, then we add back D&A because it is a non-cash expense. Then we subtract both CapEx and the change in NOWC to arrive at the free cash flow to the firm for each fiscal year. These cash flows are discounted to the present. After this, we estimate the terminal value of the company using a perpetuity growth model and then discount this value to the present. We then compute the sum of these discounted values to find the Enterprise Value (EV). Net debt is subtracted from the EV to arrive at the Equity Value of the firm. Finally, the Equity Value of Costco is divided by the number of outstanding shares of common stock to find the intrinsic value per share of stock. Cash flows and the terminal value are discounted using the Weighted Average Cost of Capital (WACC), which is a weighted average representation of Costco's cost of equity and cost of debt. The WACC value was sourced from FactSet's reported value as of March 18, 2025.

The following key assumptions were used in the base case scenario and are rooted in historical trends derived from FactSet and Costco's historical financial statements. A summary of assumption inputs is shown below:

BASE CASE DCF ASSUMPTION TABLE		
Assumption	Value	Notes
Forecast Period	5 Years	2025-2029
Revenue Growth Rate	9.00%	Rounded 10 Yr. Average
Operating Margin (EBIT%)	3.56%	5 Yr. Average
EBIT Margin Improvement	0.10%	5 Yr. Average
Depr & Amort % of Revenue	1.01%	5 Yr. Average
CapEx % of Revenue	1.77%	5 Yr. Average
Change in NOWC % of Revenue	-0.49%	4 Yr. Average (Exc Covid)
Tax Rate	24.62%	5 Yr. Average
WACC (Discount Rate)	8.54%	Source: FactSet 3/18/2025
Terminal Growth Rate	4.00%	Estimate

Using the input assumptions shown above, the table shown below summarizes the projected financials of the five-year forecast period:

Costco Base Case DCF Analysis (in Billions \$)	2024A	2025E	2026E	2027E	2028E	2029E
Revenue	\$254.45	\$277.35	\$302.31	\$329.52	\$359.18	\$391.50
YoY Growth (%)	5.02%	9.00%	9.00%	9.00%	9.00%	9.00%
EBIT	\$9.29	\$9.87	\$11.06	\$12.39	\$13.86	\$15.50
EBIT Margin (%)	3.65%	3.56%	3.66%	3.76%	3.86%	3.96%
Taxes on EBIT	\$2.29	\$2.43	\$2.72	\$3.05	\$3.41	\$3.82
EBIT * [1-T]	\$7.00	\$7.44	\$8.34	\$9.34	\$10.45	\$11.69
Depreciation & Amortization	\$2.24	\$2.81	\$3.07	\$3.34	\$3.64	\$3.97
Capital Expenditures	\$4.71	\$4.91	\$5.35	\$5.83	\$6.36	\$6.93
Change in Net Operating Working Capital		-\$1.369	-\$1.493	-\$1.627	-\$1.773	-\$1.933
Free Cash Flow	\$6.63	\$6.72	\$7.55	\$8.47	\$9.51	\$10.66
Discounted Cash Flow (DCF)		\$6.19	\$6.41	\$6.63	\$6.85	\$7.08

The present value of the current cash flow and the projected FCFFs over the forecast period total to approximately \$39.79 billion, while the discounted terminal value is estimated to be \$149.34 using a modest estimated terminal growth rate of 4%. These two values are added together to arrive at an enterprise value of \$189.12. We then subtract \$1.2 billion of net debt, to arrive at the equity value of Costco. Finally, we divide by the diluted shares outstanding of 443.76 million to find the intrinsic value per share. The table below summarizes the calculations:

Terminal Value (Billions \$)	\$244.18
Discounted Terminal Value (Billions \$)	\$149.34
Enterprise Value (Billions \$)	\$189.12
Equity Value (EV - Net Debt) (Billions \$)	\$187.92
Intrinsic Value Per Share	\$422.52

This intrinsic value suggests that under these base case assumptions, Costco's intrinsic value per share is \$422.52. The current market price of Costco's stock as of April 13, 2025, is ~\$963/share, which indicates that Costco is currently overvalued in the market. This overvaluation in current share price levels could be driven by market optimism about Costco's core business strategy and strong brand reputation.

Sensitivity Analysis

To better understand the DCF model and to account for uncertainties in the WACC and Terminal Growth Rate (TGR), a two-dimensional sensitivity analysis table was developed. This analysis shows how any slight changes in baseline assumptions can have very large impacts on the intrinsic value of

Costco's stock price. All other assumptions are held equal, and we now observe how changes in the WACC and TGR affect the intrinsic value of Costco's stock price in the following table:

		Change in Terminal Growth Rate (TGR)					
Change in WACC		3.00%	3.50%	4.00%	4.50%	5.00%	5.50%
	6.00%	\$672.48	\$791.88	\$970.97	\$1,269.46	\$1,866.43	\$3,657.34
	6.50%	\$574.61	\$657.91	\$774.53	\$949.45	\$1,241	\$1,824.09
	7.00%	\$501.33	\$562.36	\$643.73	\$757.65	\$928.52	\$1,213.32
	7.50%	\$444.44	\$490.81	\$550.43	\$629.93	\$741.22	\$908.16
	8.00%	\$399.02	\$435.27	\$480.58	\$538.83	\$616.50	\$725.24
	8.54%	\$359.27	\$387.76	\$422.52	\$465.89	\$521.51	\$595.43
	9.00%	\$331.11	\$354.71	\$383.03	\$417.65	\$460.91	\$516.54
	9.50%	\$305.08	\$324.60	\$347.67	\$375.35	\$409.18	\$451.47
	10.00%	\$282.83	\$299.18	\$318.26	\$340.81	\$367.87	\$400.94

Based upon the sensitivity table shown above, we observe that Costco's stock price valuation is highly sensitive to changes in the WACC and in the TGR. The higher the WACC is, the more stubborn the share price will be to changing due to changes in the TGR. This is because the discount rate is aggressively negating the effects of the growth rate. However, if the WACC assumptions relax and decrease, we observe that the growth rate has a much higher impact on the overall valuation. A 154-basis point (bps) decrease from the baseline WACC of 8.54% to 7% drastically increases the share price by approximately \$220. On the other hand, long-term growth assumptions also have large effects on the valuation. Assuming a slightly lower WACC of 8%, then a 150-bps change in the TGR from 4% to 5.5% would entail the share price rising by over \$240. The overall trend shows that the more we decrease the WACC, the higher the share price will become, and the higher the growth rate, then naturally we see that the share price increases.

Scenario Analysis

Scenario analysis is another powerful tool that will assist in understanding how changes in Costco's key financial drivers impact the intrinsic value of the company. We build bull (optimistic) and bear (pessimistic) case models to evaluate a range of realistic scenarios that Costco could face in the future. Each of the scenarios show how varying economic conditions and changes in internal performance metrics can affect Costco's future performance.

The first scenario we evaluate is the bear case. In this simulation, we assume revenue growth falls to 7.5%, which is much lower than the historical revenue growth averages that Costco has seen. The reason for this lower growth would be influences such as weak consumer demand, rising inflation, and increased competition from rivals. EBIT margins would compress to 3% under this scenario. The WACC increases to 9.5% due to heightened market volatility, macroeconomic risks and increased interest rates. The terminal growth rate decreases to 3% due to the negative economic outlook. The result of this scenario is a much lower intrinsic value of \$244.05 per share. This implies there is much more risk-aversion and pessimistic market sentiment overall. The following tables summarizes the bear case economic scenario, using the same methodology as the previously mentioned base case:

BEAR CASE DCF ASSUMPTION TABLE		
Assumption	Value	Notes
Forecast Period	5 Years	2025-2029
Revenue Growth Rate	7.50%	Bear Case
Operating Margin (EBIT%)	3.00%	Bear Case
EBIT Margin Improvement	0.10%	5 Yr. Average
Depr & Amort % of Revenue	1.01%	5 Yr. Average
CapEx % of Revenue	1.77%	5 Yr. Average
Change in NOWC % of Revenue	-0.49%	4 Yr. Average (Exc Covid)
Tax Rate	24.62%	5 Yr. Average
WACC (Discount Rate)	9.50%	Bear Case
Terminal Growth Rate	3.00%	Bear Case

Costco Bear Case DCF Analysis (in Billions \$)	2024A	2025E	2026E	2027E	2028E	2029E
Revenue	\$254.45	\$273.53	\$294.05	\$316.10	\$339.81	\$365.30
YoY Growth (%)	5.02%	7.50%	7.50%	7.50%	7.50%	7.50%
EBIT	\$9.29	\$8.21	\$9.12	\$10.12	\$11.21	\$12.42
EBIT Margin (%)	3.65%	3.00%	3.10%	3.20%	3.30%	3.40%
Taxes on EBIT	\$2.29	\$2.02	\$2.24	\$2.49	\$2.76	\$3.06
EBIT * [1-T]	\$7.00	\$6.19	\$6.87	\$7.62	\$8.45	\$9.36
Depreciation & Amortization	\$2.24	\$2.77	\$2.98	\$3.21	\$3.45	\$3.70
Capital Expenditures	\$4.71	\$4.84	\$5.20	\$5.60	\$6.01	\$6.47
Change in Net Operating Working Capital		-\$1.350	-\$1.452	-\$1.561	-\$1.678	-\$1.803
Free Cash Flow	\$6.63	\$5.47	\$6.10	\$6.80	\$7.56	\$8.40
Discounted Cash Flow (DCF)		\$4.99	\$5.09	\$5.18	\$5.26	\$5.34

Terminal Value (Billions \$)	\$133.17
Discounted Terminal Value (Billions \$)	\$77.25
Enterprise Value (Billions \$)	\$109.74
Equity Value (EV - Net Debt) (Billions \$)	\$108.54
Intrinsic Value Per Share	\$244.05

The second case to evaluate is the bull case. This case envisions Costco outperforming expectations by attaining higher revenue growth of 11% and greater EBIT margins of 4%. These metrics would increase if the firm continued to build stores throughout the U.S.A and internationally, expands its private label brand, and continues to see valuable gains in membership fee revenue. A lower WACC of 7.5% reflects a stronger macroeconomic situation, higher investor confidence in the firm, and a lowered cost of debt through lower interest rates. The TGR would also increase to an estimated 5% due to strong future expectations. The result of this valuation is a share price of \$905.22. If Costco continues to leverage its

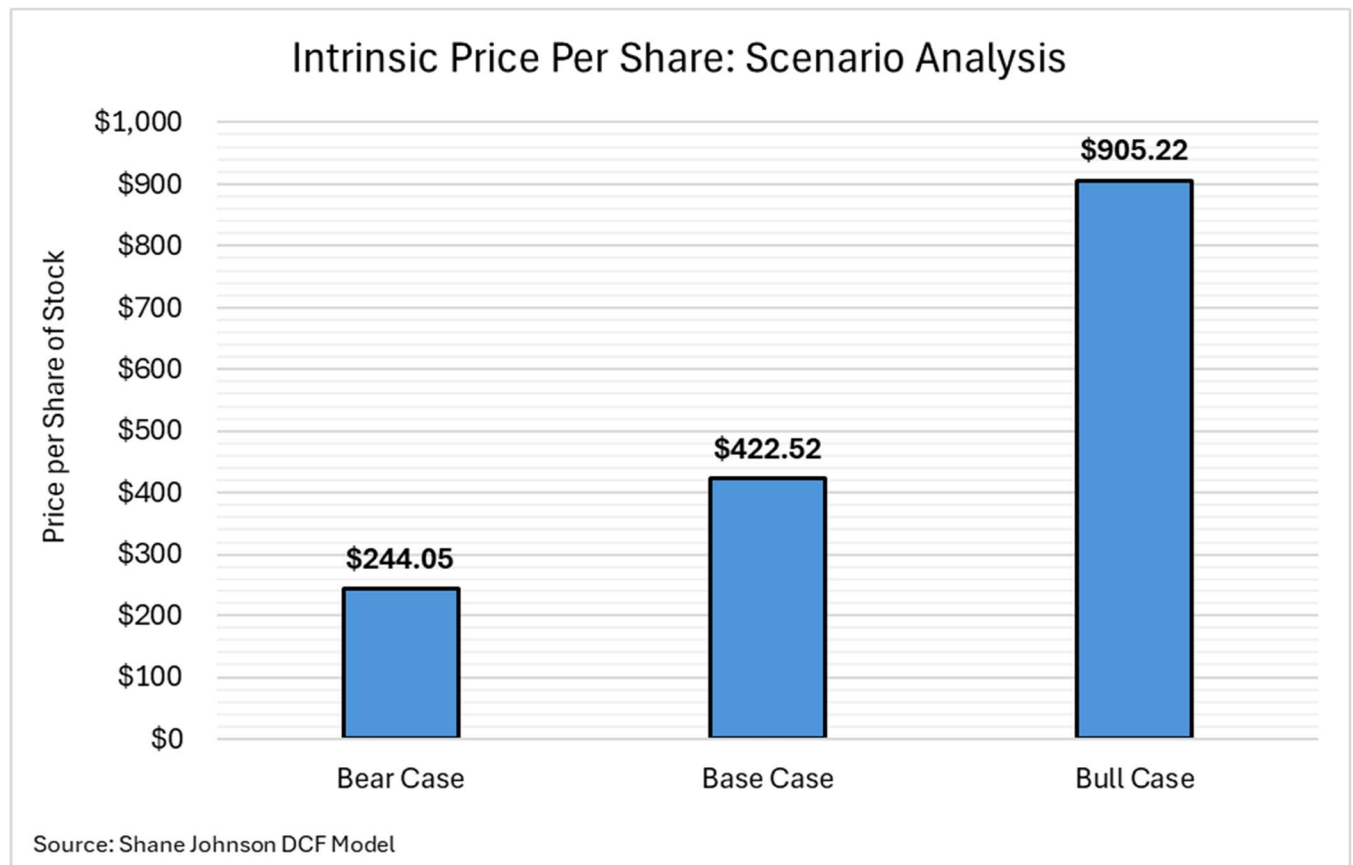
operating efficiencies and grow its business lines, then it will see significant upside and achieve attractive profits. The following tables summarize the bull case economic scenario, using the same methodology as the previously mentioned base and bear cases:

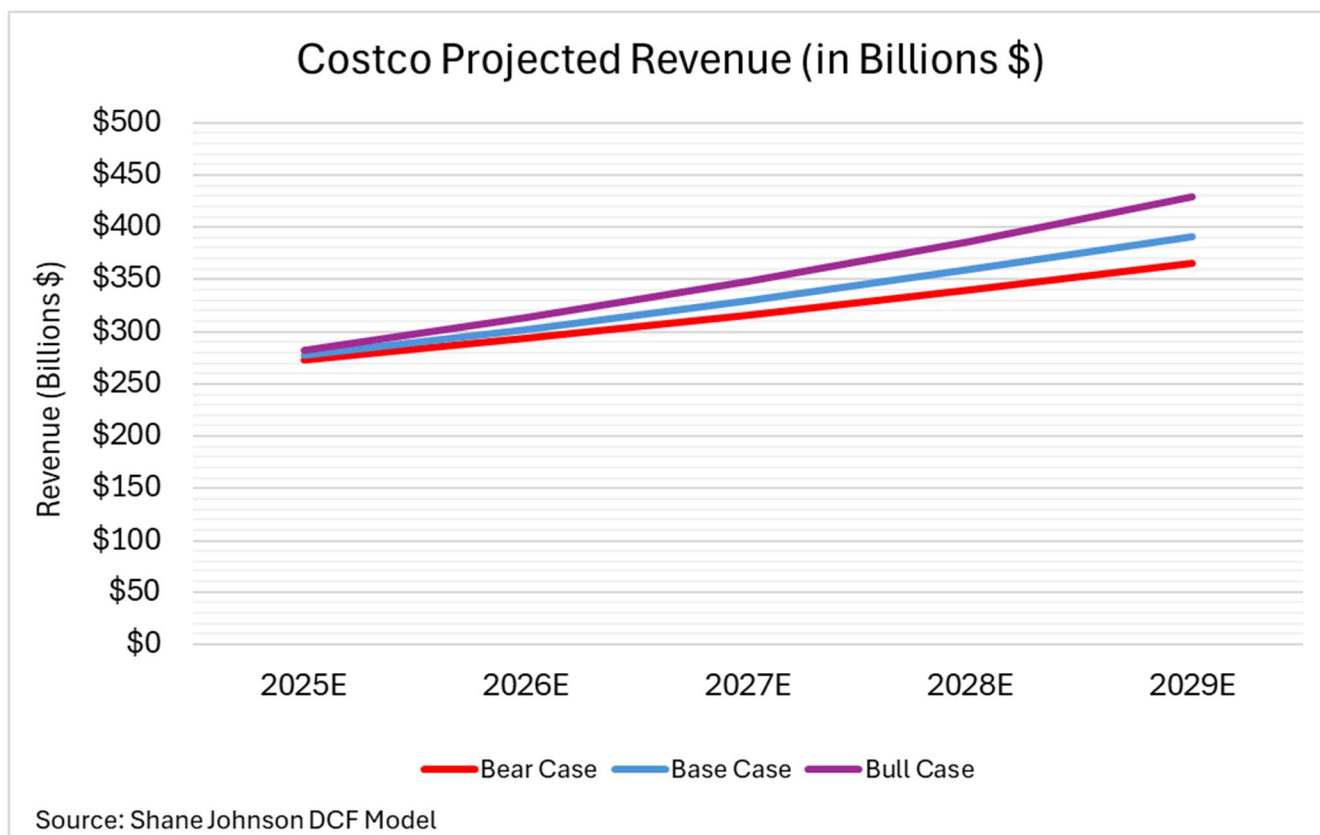
BULL CASE DCF ASSUMPTION TABLE		
Assumption	Value	Notes
Forecast Period	5 Years	2025-2029
Revenue Growth Rate	11.00%	Bull Case
Operating Margin (EBIT%)	4.00%	Bull Case
EBIT Margin Improvement	0.10%	5 Yr. Average
Depr & Amort % of Revenue	1.01%	5 Yr. Average
CapEx % of Revenue	1.77%	5 Yr. Average
Change in NOWC % of Revenue	-0.49%	4 Yr. Average (Exc Covid)
Tax Rate	24.62%	5 Yr. Average
WACC (Discount Rate)	7.50%	Bull Case
Terminal Growth Rate	5.00%	Bull Case

Costco Bull Case DCF Analysis (in Billions \$)	2024A	2025E	2026E	2027E	2028E	2029E
Revenue	\$254.45	\$277.35	\$302.31	\$329.52	\$359.18	\$391.50
YoY Growth (%)	5.02%	9.00%	9.00%	9.00%	9.00%	9.00%
EBIT	\$9.29	\$9.87	\$11.06	\$12.39	\$13.86	\$15.50
EBIT Margin (%)	3.65%	3.56%	3.66%	3.76%	3.86%	3.96%
Taxes on EBIT	\$2.29	\$2.43	\$2.72	\$3.05	\$3.41	\$3.82
EBIT * [1-T]	\$7.00	\$7.44	\$8.34	\$9.34	\$10.45	\$11.69
Depreciation & Amortization	\$2.24	\$2.81	\$3.07	\$3.34	\$3.64	\$3.97
Capital Expenditures	\$4.71	\$4.91	\$5.35	\$5.83	\$6.36	\$6.93
Change in Net Operating Working Capital		-\$1.369	-\$1.493	-\$1.627	-\$1.773	-\$1.933
Free Cash Flow	\$6.63	\$6.72	\$7.55	\$8.47	\$9.51	\$10.66
Discounted Cash Flow (DCF)		\$6.72	\$7.55	\$8.47	\$9.51	\$10.66

Terminal Value (Billions \$)	\$550.03
Discounted Terminal Value (Billions \$)	\$356.40
Enterprise Value (Billions \$)	\$403.80
Equity Value (EV - Net Debt) (Billions \$)	\$402.61
Intrinsic Value Per Share	\$905.22

The following charts summarize the DCF analysis findings:





This DCF valuation model shows that in multiple scenarios, Costco exhibits substantial long-term value through its stable cash flows, high membership renewal rates, conservative use of debt, and exceptional operational performance. Under the base case assumptions, we show that Costco's intrinsic value is \$422.52, which is lower than the current market valuation of \$963. This means that the business is most likely priced at a premium in the current market because of future expectations beyond fundamental financial performance. We have shown that the bull case scenario is most likely what the market is currently pricing, as this scenario predicts a fundamental value of \$905, indicating significant potential for the business. This is much closer to the observed market price; therefore, we can infer the market is assuming vigorous revenue growth and continued operational excellence from Costco Wholesale Corporation.

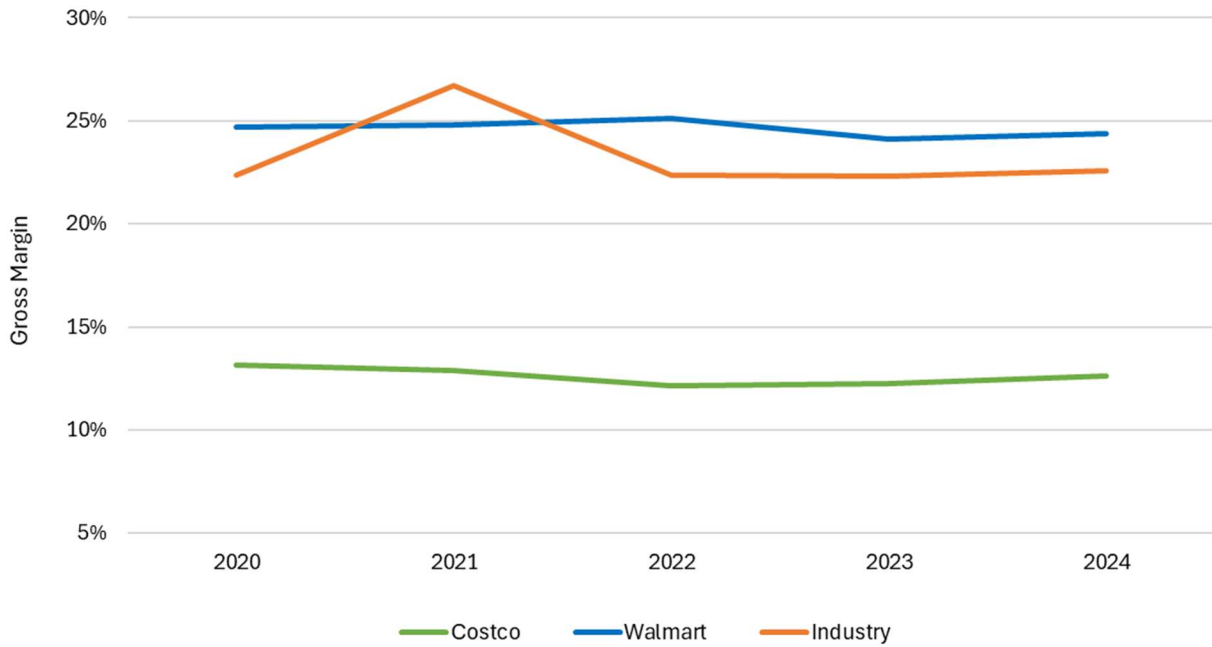
Costco Comparative Financial Analysis

Costco's gross, operating and net margins present tangible challenges and strengths for its unique business when compared to industry peers like Walmart, and the specialty retail industry averages.

Gross margins for Costco remain much lower than peers and the industry, consistently declining over the last decade and hovering at 12.6% for 2024. Walmart and the industry averages gross margins are consistently above 20%, at 24.3% and 22.6% for 2024, respectively (FactSet Fundamentals, 2025). This difference between Costco and its competition is directly influenced by Costco's deliberate low-margin, high-volume strategy. This is not a weakness, but a strategic trade-off, as Costco prioritizes its net margins and bargain prices over gross margins. In exchange for relatively low gross margins, Costco receives a loyal customer base and recurring membership fee revenue streams, all of which are high-margin and serve to offset the lower prices the business offers.

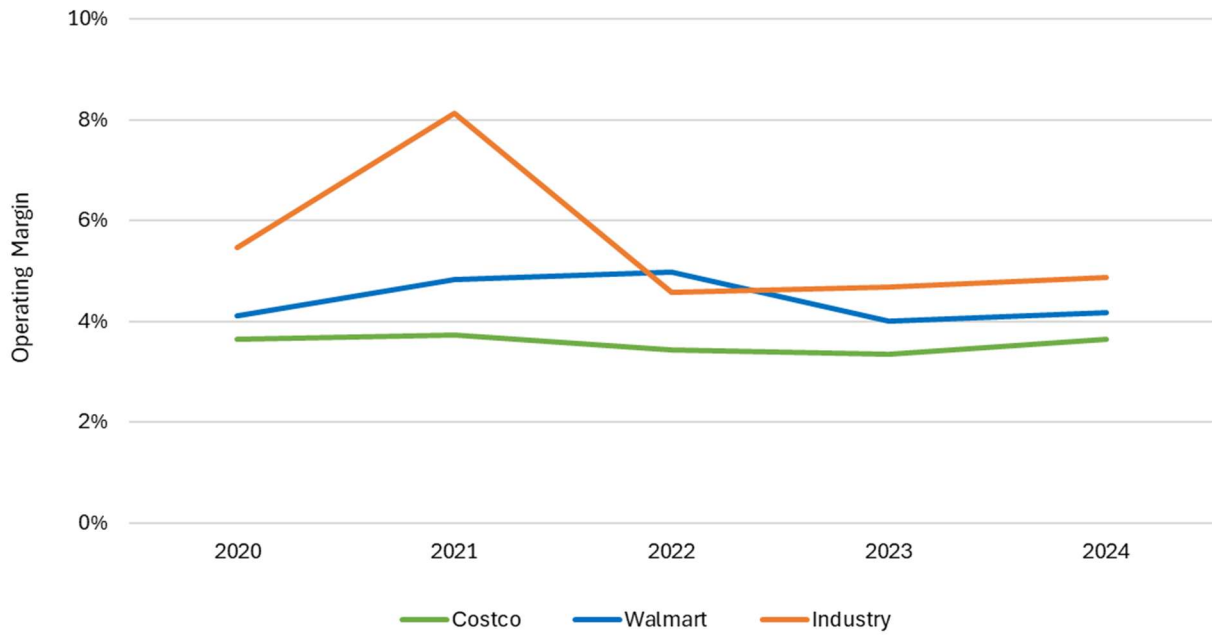
Regarding the operating and net margins, it is apparent that Costco begins to catch up with its industry and peers. In 2024, operating margins for Costco were 3.6%, very close to Walmart's 4.1% and the industry average of 4.8% (FactSet Fundamentals, 2025). It should also be noted that Costco and Walmart make up a large portion of the industry, but since there are many smaller firms with higher overall margins, these firms tend to push up the industry average, compared to what it would be if a weighted average methodology was used. The net margins are where Costco's business prowess really begins to shine, as it recorded a 2.9% net margin in 2024, outperforming Walmart's 2.3% and remaining very close to the industry's 3.43% (FactSet Fundamentals, 2025). This analysis shows that Costco forgoes high overall gross margins, and uses lean inventory management, superior business operations and exceptional cost savings to translate more of its revenue into net income. Overall, Costco's commitment to operational excellence and strong margins are a crucial factor that give investors' confidence in its business and future value.

Gross Margin Comparison

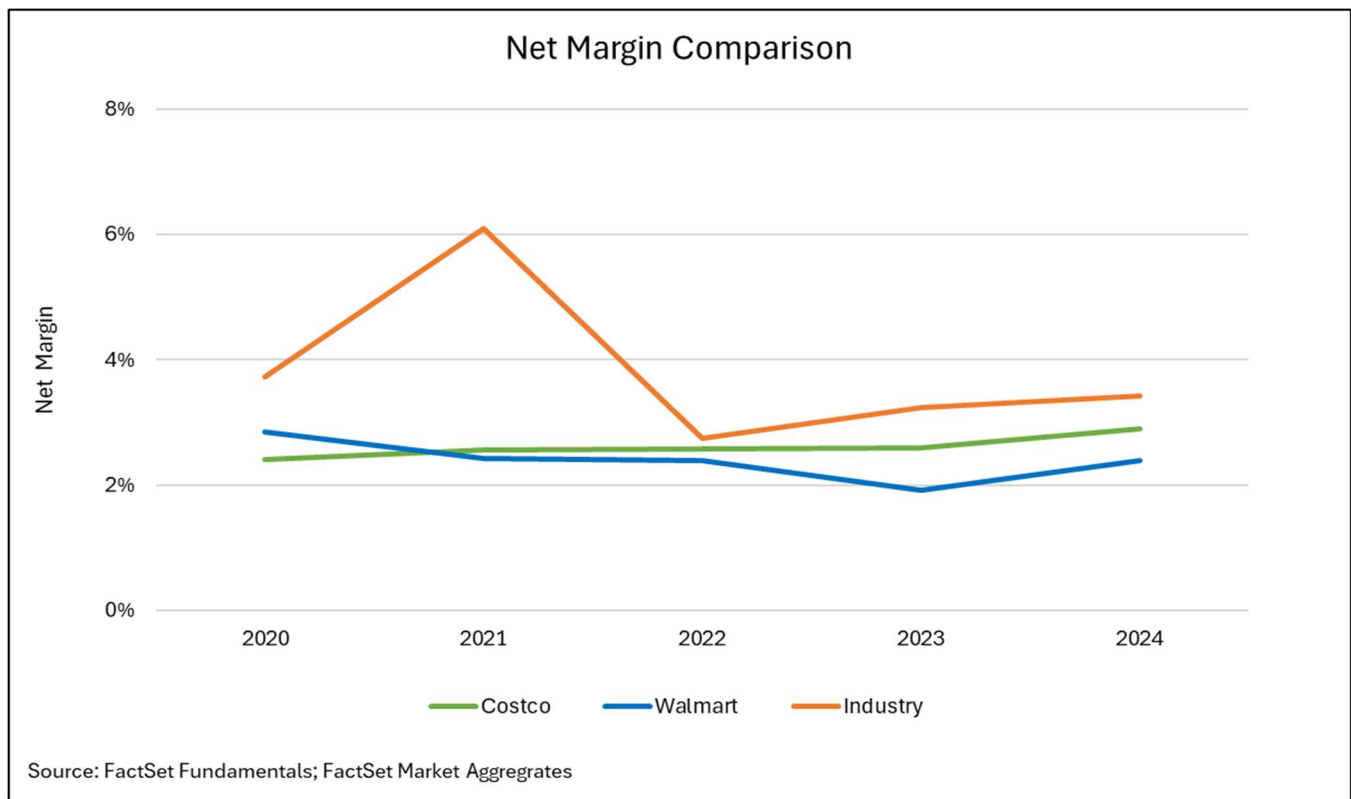


Source: FactSet Fundamentals; FactSet Market Aggregates

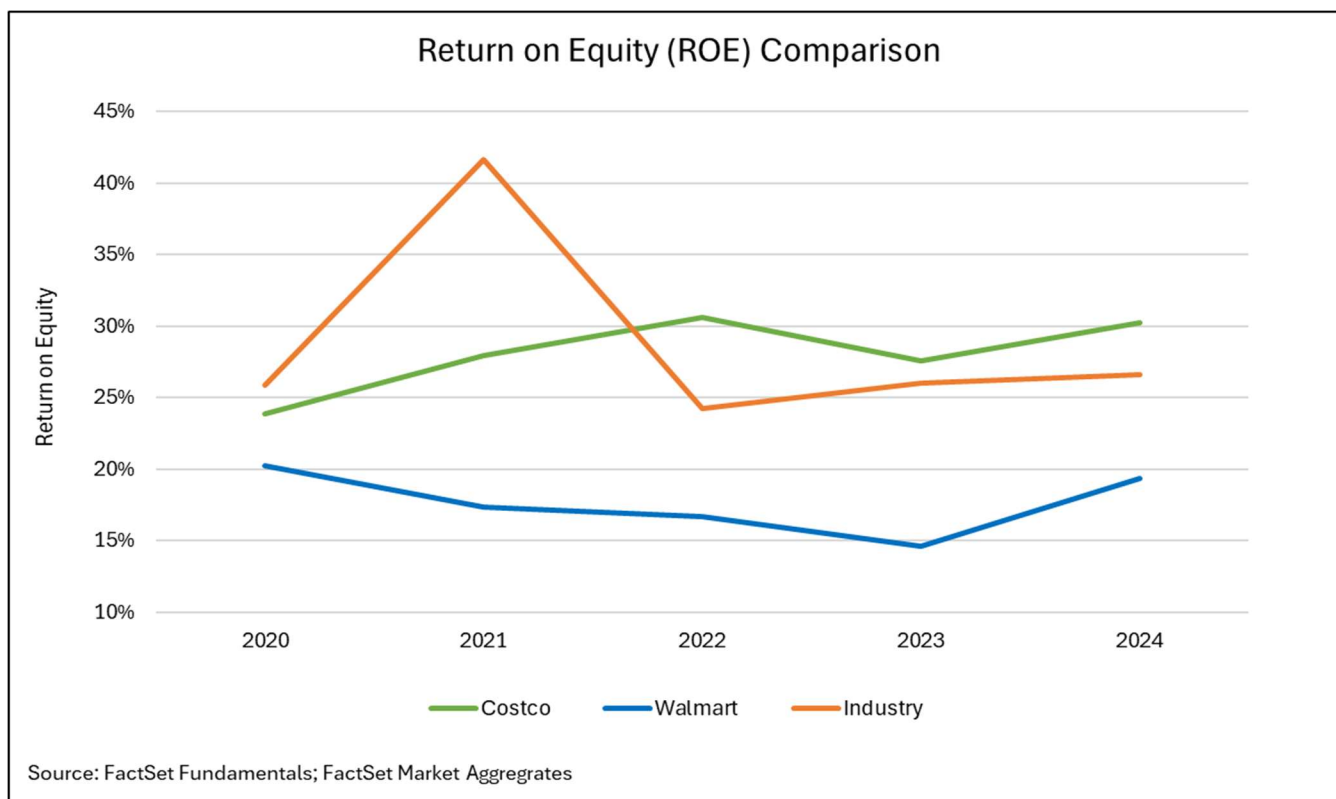
Operating Margin Comparison



Source: FactSet Fundamentals; FactSet Market Aggregates

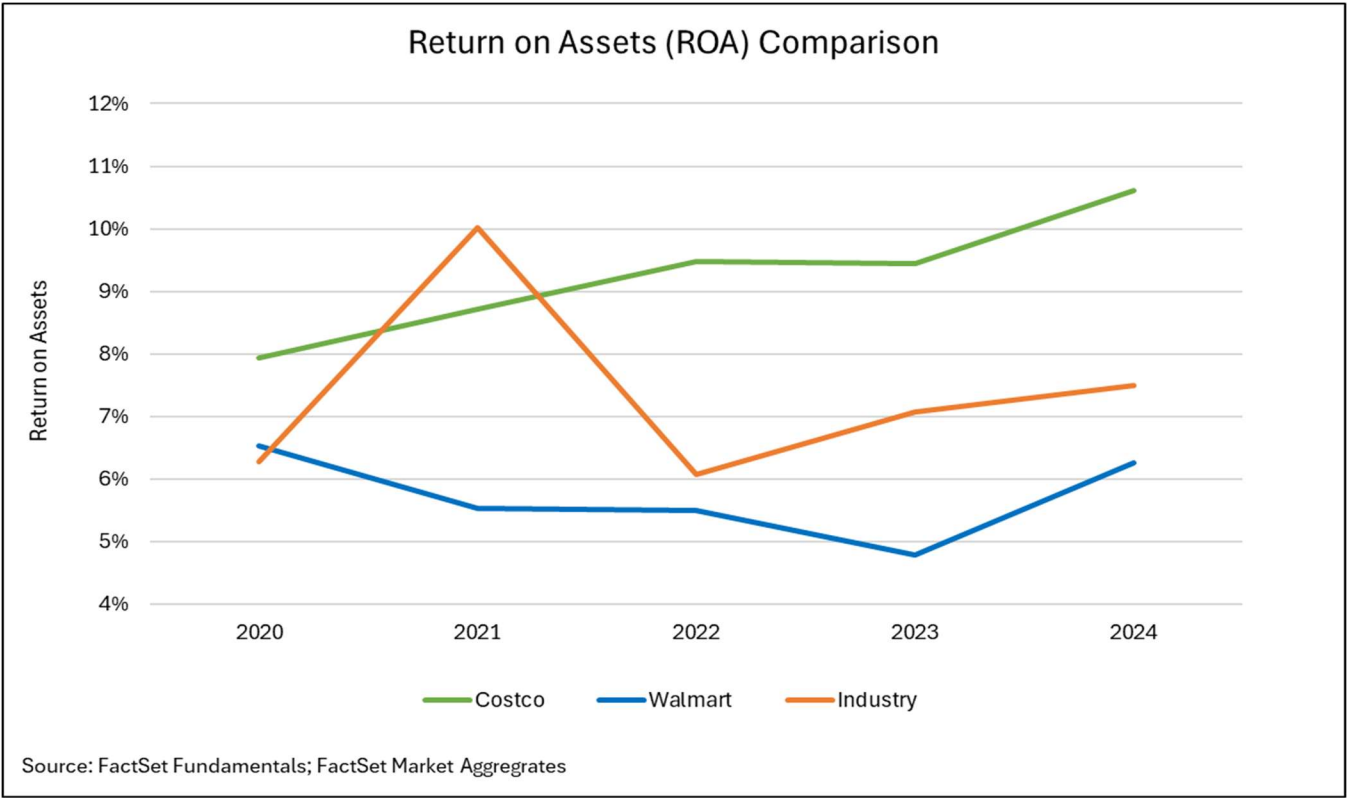


Costco has had exceptional ROE measures over the last decade, with 2024 ROE at a phenomenal 30.27%, compared to Walmart's 19.32% and the industry average of 26.61% (FactSet Fundamentals, 2025). ROE has been a strong point for Costco and has risen each year for the last five years except for 2023. Walmart's ROE has declined each year for the last five years except for 2024. The industry average ROE has fluctuated wildly over the last five years, mainly due to COVID-19, but has consistently been lower than Costco's ROE for the last three years. This exceptional performance by Costco is another reflection of its high asset turnover and general business strategy. Costco ROE clearly outperforms its industry and peers, meaning that shareholders have seen a higher return for every dollar of equity in Costco compared to other businesses.



Costco had an ROA of over 10.6% in 2024, making it the leader over both Walmart's 6.2% ROA and the industry average of 7.4% (FactSet Fundamentals, 2025). One important thing to note is that Costco's ROA had an increasingly upward trajectory over the last 5 years, while Walmart actually declined except for 2024. Costco was outperforming one of its major rivals and increasing its own business efficiency at the same time. Costco also outperformed the industry average during every year except for 2022, which is a remarkable achievement. This high level of asset productivity is derived from Costco's operational model, which is designed to maximize sales per square foot and minimize wasteful capital in underutilized assets. Costco's warehouse driven approach shines again due to the sheer simplicity and efficiency. Due to fewer amounts of SKUs and large-bulk purchases, Costco can create more dollars per asset. This high ROA is another example of the firm's proven ability to generate

strong profit from its core asset base, all while comfortably outperforming industry peers and benchmarks.

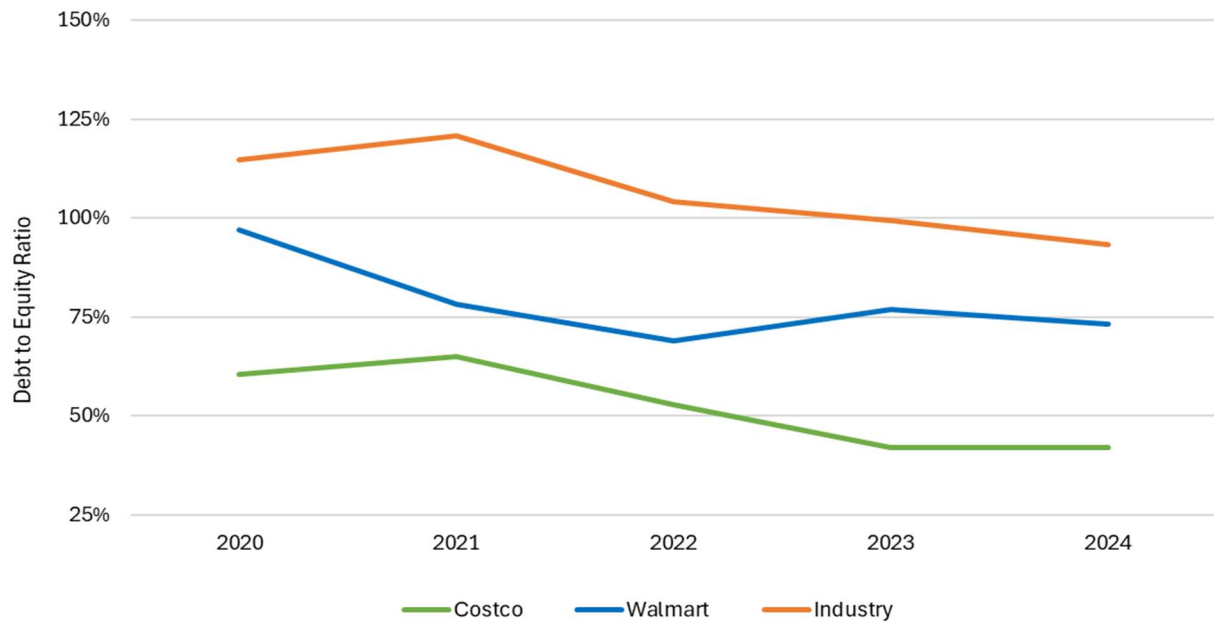


Debt-to-equity ratios for Costco sit at 42.1% for 2024, which is much lower than Walmart at 73.1% and the industry at 93.3% (FactSet Fundamentals & FactSet Market Aggregates, 2025). One notable trend is that over the past five years, these debt-to-equity ratios have been on a downhill slope for each entity. Costco leads yet again in this field, which means that it has even fewer debt-related risks relative to the industry benchmarks and its largest rival Walmart. Costco has avoided aggressive debt-fueled expansion strategies, which would expose the company to higher risk. Instead, the firm has chosen to rely on organic forms of growth for the bulk of its financing.

In addition to this good debt-to-equity record, Costco also leads the way with its interest coverage ratio (EBIT/Interest Expense). Costco's 2024 EBIT/Interest Expense ratio was 54.94x, far surpassing its peers and industry standards. In comparison, Walmart only had a ratio of 10.07x and the industry average ratio was 8.76x (FactSet Fundamentals & FactSet Market Aggregates, 2025). Both ratios are healthy and relatively stable, but still are much lower than Costco, who has almost around 5 times the amount of interest coverage ratio. This strong coverage allows Costco to maintain financial safety and effective debt service coverage. Costco has improved this ratio over the last five years as well, while Walmart and the industry have seen stagnation and even a decline in this ratio. Costco's cautious use of debt means that interest obligations are poised to remain small, which means the business will have more cash freed up for reinvestment and growth opportunities.

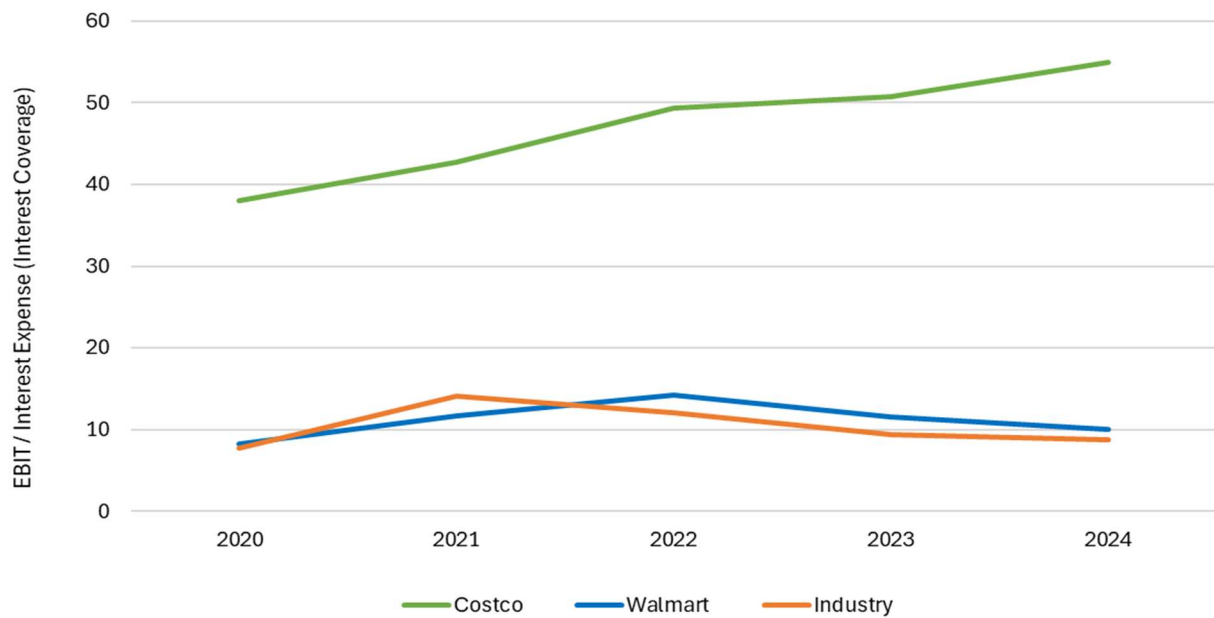
This exceptionally strong interest coverage ratio Costco possesses is very important in the current economic environment, with all the unknowns in the market today. Companies that have lower amounts of coverage will most definitely face refinancing hurdles and limited financial flexibility. Costco's robust cash flow and low amount of aggregate debt provide a hedge of protection against such concerns. Investors can remain confident they will not face solvency or liquidity issues and that Costco will prove to be a valuable asset in an uncertain market environment.

Debt to Equity Ratio Comparison



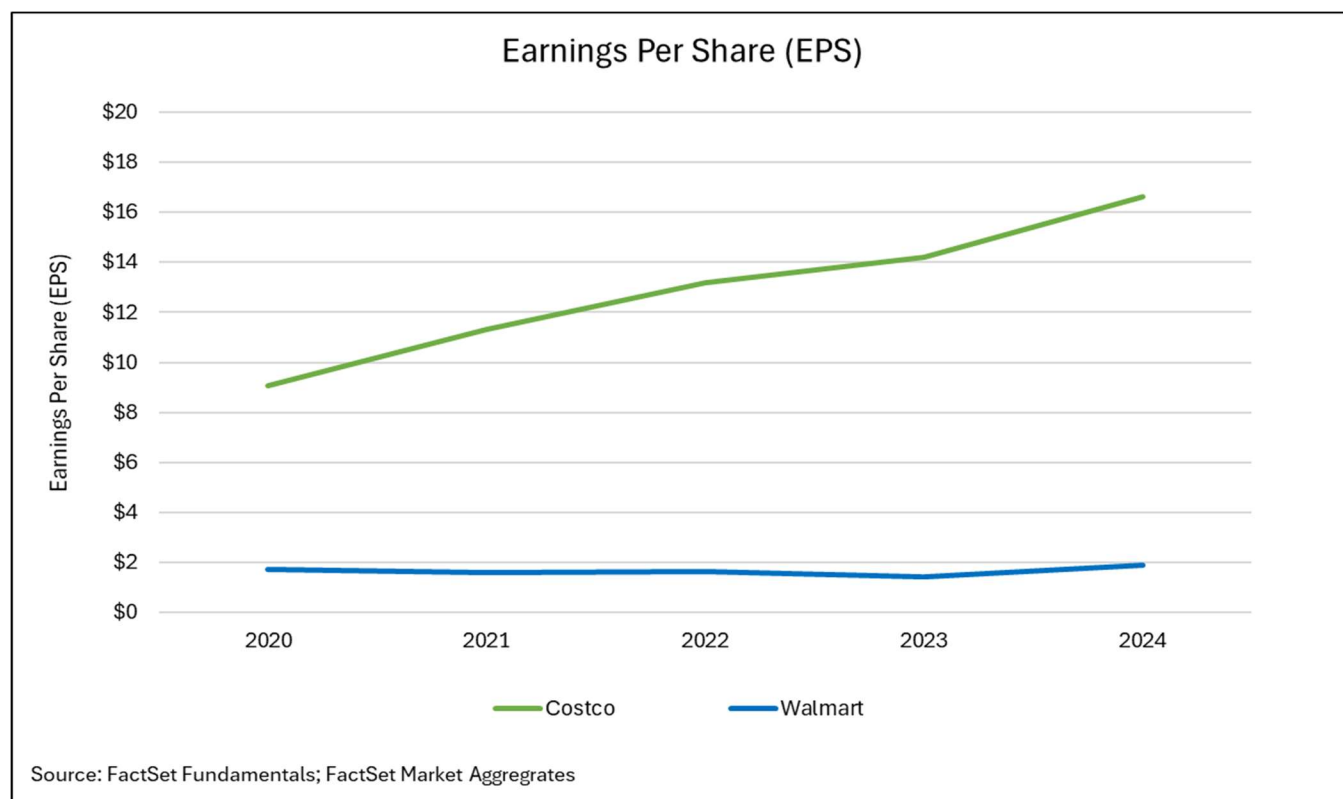
Source: FactSet Fundamentals; FactSet Market Aggregates

EBIT / Interest Expense (Interest Coverage)



Source: FactSet Fundamentals; FactSet Market Aggregates

EPS performance for Costco has been extremely impressive, especially when compared to rival firm Walmart. Walmart has barely grown its EPS at all and looks extremely stagnant over the last five years in this regard. For comparison, Walmart's EPS has stayed in a range of \$1.59 to \$1.92 per share, while Costco has drastically outperformed with a range varying from \$9.05 in 2020 to \$ 16.6 in 2024 (FactSet Fundamentals & FactSet Market Aggregates, 2025). This strong EPS growth is crucial to supporting Costco's financial goals and long-term shareholder returns. Due to strong free cash flows, Costco can effectively fund dividends, invest in new ventures and attain minimal dilution. Moreover, EPS growth is especially important because of today's markets focus on earnings quality and recurrence. Costco's proven ability to deliver superior EPS results by utilizing its efficient operational structure and steady membership fee income creates a strong foundation for its reputation as a long-term investment prospect.



Risk Analysis

Although Costco Wholesale Corporation exhibits superior financial results and long-term growth opportunities, it is prudent to discuss associated risks to the business. A crucial concentration risk is the company's geographical reliance on the state of California, which accounts for 27% of all U.S. sales in 2024 (Costco Wholesale Corporation, 2024, p. 9). Although this state presents a multitude of expansion opportunities, this significant dependence on a single state exposes Costco to idiosyncratic economic, political, geographic, and regulatory risks that could have a large effect on its overall business performance. California possesses higher minimum wage laws and stringent environmental and safety standards. The state is particularly known for natural disasters such as wildfires and earthquakes, which can lead to above average insurance premium costs. Any disruption or slowdown in consumer demand in this area could adversely affect Costco's overall membership and sales revenue streams, since the area contains such a large proportion of Costco's high-volume warehouses (Costco Wholesale Corporation, 2024, p. 9).

Costco faces broad economic risks that could have a material impact on its core business operations. One of the main risks Costco faces in this regard is inflationary pressure, especially concerning core commodities and fuel. Costco's main business relies on these products, and any inflationary pressure can have a large negative effect on its earnings. According to the Federal Reserve, core inflation in the U.S. was persistently elevated in 2022 and 2023 (Federal Reserve Bank of St. Louis, 2023). Costco has historically protected its customers and provided low-priced products, but high inflation could erode profit margins if the company passes on costs to its customer base (Costco Wholesale Corporation, 2024, p. 14). In addition to inflationary pressures, rising interest rates or economic downturns may dampen consumer demand and spending, while also increasing the WACC for the firm. This could increase the cost of borrowing, while also reducing gross revenues due to lowered

consumer demand for Costco's products. Tariffs and government regulation could also drastically elevate supply chain costs and discourage Costco from expanding its business internationally. These changes would require the business to adjust its pricing and merchandise mix, which could negatively affect customer value perception and revenue (Costco Wholesale Corporation, 2024, p. 14).

Costco's core business growth is dependent upon continuously expanding its warehouses into both domestic and international markets. However, the company faces large risks in procuring prime real estate due to regulations, local politics, and intense competition from other rival firms. In some areas, there have been laws that were proposed to restrict large-scale retail expansions, which would greatly challenge Costco's business model (Costco Wholesale Corporation, 2024, p. 9). Another concern is that Costco's own stores may cannibalize sales from its own nearby locations, which would greatly dilute overall company performance. Finally, each expansion opportunity that Costco undertakes could lead to challenges such as unfamiliar consumer preferences and better-established competition, which may lead to reduced profitability at new sites (Costco Wholesale Corporation, 2024, p. 9).

Another risk that must be considered is membership retention and overall brand loyalty factors, which are key determinants of Costco's revenue model. Since membership fees comprise such a large percentage of Costco's operating income as shown earlier, any deterioration in membership renewal rates will impact the company's bottom line profit margins (Costco Wholesale Corporation, 2024, p. 9). Costco's Kirkland Signature brand also is a contributing factor for brand loyalty. If Costco has any kind of decline in product quality, then brand trust issues for Kirkland Signature could also lower member retention rates (Costco Wholesale Corporation, 2024, p. 9). Failure to keep up with competition in an increasingly digital business world represents another key risk factor that must be considered. Costco must seek to continuously reinforce the value it brings to customers, which means constantly staying vigilant about competition.

Finally, supply chain issues represent a constant risk for Costco. The business model depends on high-volume discounted purchases, and strict quality control procedures. The company's supplier could face potential negative interruptions such as labor strikes, natural disaster, political instability, and unforeseeable transportation bottlenecks. These individual problems can have outsized effects on Costco's expenses, which in turn bleed into the overall bottom line. They also can create large product shortages and quality issues with the firm (Costco Wholesale Corporation, 2024, p. 14). Supply chain issues can lead to lost sales for the firm, members who become discontent, and inventory challenges (Costco Wholesale Corporation, 2024, p. 14).

We have shown that Costco remains one of the most operationally efficient and financially stable companies in the entire retail industry, however, investors still must consider the firm's exposure to risks such as geographic concentration, macroeconomic downturns, store expansion problems, declining product quality, and supply chain instability. Costco's long-term success will require the firm to continue to provide exceptional quality and price offerings on its products, pursue strategic diversification of store locations, and continue maintaining cost controls in a competitive and volatile global retail environment.

Conclusion

After providing a comprehensive strategic and financial evaluation of Costco Wholesale Corporation, the analysis strongly supports that Costco is a fundamentally strong and stable business with long-term investment appeal. The company's business model is anchored in by recurring high-margin membership fees and consistent bulk sales revenue growth. Costco has proven to be resilient during multiple market conditions by consistently generating yearly revenue growth, expanding store

locations, and maintaining extremely high customer retention rates of over 90% per year. Costco's continuous commitment to control costs, improve inventory management processes, and increase warehouse productivity allows the company to see increased revenue every year over the past decade.

When Costco is compared to Walmart and the industry benchmarks, we see that it outperforms competition and performs extremely well every year. Costco's ROE, ROA and interest coverage ratios significantly outperform industry peers, proving that not only is the business using less leverage, but also it attains superior financial results. The business is continuing to expand its scope throughout the retail industry while maintaining excellent operational efficiencies, enabling it to create strong free cash flows. Despite having lower gross and operating margins than its rivals, Costco translates this into superior net income margins through its operational efficiencies and strong membership-based fee structure. Costco's financial position reinforces it as the top contender within its sector.

Using the Discounted Cash Flow (DCF) model, we show multiple significant insights about Costco's investment potential. Under the standard base-case assumptions, the intrinsic value of Costco's stock price was estimated to be \$422.52 per share, which is much lower than the current market price of \$963. The bull-case DCF scenario more accurately describes the stock price at \$905.22 per share. This means that we can infer the market is pricing in a bullish scenario for Costco's overall business, with the market likely expecting continued revenue growth, global store expansions, and continued membership retention. Overall, while Costco may appear overvalued in the short term based on traditional methods, the firms' high-quality earnings, strong cash flows, and stable business model justify continued optimism about the firm's long-term potential.

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